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Consumer Protection Act, 2019

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THE CONSUMER PROTECTION ACT, 2019

(Act No. 35 of 2019)

[9th August, 2019]

An Act to provide for protection of the interests of consumers and for the said purpose, to establish authorities for timely and effective administration and settlement of consumers' disputes and for matters connected therewith or incidental thereto.

The Act was enacted by Parliament in the Seventieth Year of the Republic of India as follows:—

CHAPTER I

PRELIMINARY

Section 1. Short title, extent, commencement and application.

- (1) This Act may be called the Consumer Protection Act, 2019.
- (2) It extends to the whole of India except the State of Jammu and Kashmir.
- (3) It shall come into force on such date as the Central Government may, by notification, appoint and different dates may be appointed for different States and for different provisions of this Act and any reference in any such provision to the commencement of this Act shall be construed as a reference to the coming into force of that provision.
- (4) Save as otherwise expressly provided by the Central Government, by notification, this Act shall apply to all goods and services.

 **STATUTORY UPDATE (2020):** The Act came into effect on **24th July, 2020** for Section 2 [clauses (4), (13), (14), (16), (40)], Section 10 to 27 (both inclusive), sub-clause (iv) of clause (a) of sub-section (1) of section 58, Section 88, 89, 92 and 93, 94, 96, 97 and 99, clause (f) to (m) of sub-section 2 and clauses (zg), (zh) and (zi) of sub-section 2 of Section 101,

104. (Ref: Notification No. S.O. 2421(E), dated 23rd July 2020, Gazette of India, Extraordinary, Part II, sec. 3(ii)).

Section 2. Definitions.

(1) In this Act, unless the context otherwise requires, —

(1) "advertisement" means any audio or visual publicity, representation, endorsement or pronouncement made by means of light, sound, smoke, gas, print, electronic media, internet or website and includes any notice, circular, label, wrapper, invoice or such other documents:

Provided that any audio or visual publicity, representation, endorsement or pronouncement made in the course of personal communication shall not be an advertisement;

(2) "advertiser" means a person or persons who communicate and cause to be made any advertisement in any manner;

(3) "advertising agency" means any person, whatever designation may be given to him or it, who or which provides services on behalf of another person for designing, marketing and all other similar activities ancillary thereto, in relation to any advertisement;

(4) "alternative dispute resolution" means mediation;

(5) "appropriate laboratory" means a laboratory or organisation —

(a) recognised by the Central Government;

(b) recognised by a State Government, subject to such guidelines as may be prescribed by the Central Government in this behalf; or

(c) any such laboratory or organisation established by or under any law for the time being in force, which is capable of conducting the test of the goods meant to be tested;

(6) "Brand Ambassador" means a person who represents a brand or service provider or manufacturer of goods for a consideration or a contractual obligation or otherwise;

(7) "caveat emptor" means a principle followed in consumer disputes, in terms whereof the seller of goods or service provider is not liable for any defect or deficiency in the goods or services and it shall be the responsibility of the consumer to be careful and conscious while purchasing any good or availing any service;

(8) "caveat venditor" means a principle followed in consumer disputes, in terms whereof the seller of goods or service provider is liable for any defect or deficiency in the goods or services and they shall exercise due care and caution before offering goods for sale or providing any service;

(9) "Central Authority" means the Central Consumer Protection Authority established under section 10;

(10) "Central Laboratory" means the Central Consumer Products Laboratory established by the Central Government under section 13 of the Standards of Weights and Measures Act, 1976 or any other laboratory established or recognised by the Central Government;

(11) "Chief Commissioner" means the Chief Commissioner of the Central Authority appointed under sub-section (1) of section 10 and includes a Commissioner when he is discharging the functions of the Chief Commissioner under this Act;

(12) "Commission" means the National Commission or the State Commission or the District Commission, as the case may be;

(13) "Commissioner" means a Commissioner of the Central Authority appointed under sub-section (1) of section 10;

(14) "complainant" means —

(i) a consumer; or

(ii) any voluntary consumer association registered under the Companies Act, 2013 or any other law for the time being in force; or

(iii) the Central Government or any State Government, who or which makes a complaint; or

(iv) one or more consumers, where there are numerous consumers having the same interest; or

(v) in case of death of a consumer, his legal heir or representative;

(15) "complaint" means any allegation in writing made by a complainant with a view to obtaining any relief provided by or under this Act, that —

(i) an unfair contract or any unfair trade practice or a restrictive trade practice has been adopted by any trader or service provider;

(ii) the goods bought by him or agreed to be bought by him suffer from one or more defects;

(iii) the services hired or availed of or agreed to be hired or availed of by him suffer from deficiency in any respect;

(iv) a trader or the service provider, as the case may be, has charged for the goods or for the services mentioned in the complaint, a price in excess of the price —

(a) fixed by or under any law for the time being in force;

(b) displayed on the goods or any package containing such goods;

(c) displayed on the price list exhibited by him by or under any law for the time being in force;

(d) agreed between the parties;

(v) goods which will be hazardous to life and safety when used, are being offered for sale to the public, —

(a) in contravention of any safety standards prescribed by or under any law for the time being in force;

(b) if the trader could have known with due diligence that the goods so offered are unsafe to the public;

(vi) services which are hazardous or likely to be hazardous to life and safety of the public when used, are being offered by the service provider which are —

(a) in contravention of any safety standards prescribed by or under any law for the time being in force; or

(b) the service provider could have known with due diligence that the services so offered are unsafe to the public;

(vii) any person has died or has suffered any injury or loss or damage to the goods as a consequence of providing of defective goods or deficient service on account of negligence of product manufacturer, product service provider or product seller;

(16) "consumer" means any person who —

(i) buys any goods for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any user of such goods other than the person who buys such goods for consideration paid or promised or partly paid or partly promised, or under any system of deferred payment, when such use is made with the approval of such person, but does not include a person who obtains such goods for resale or for any commercial purpose; or

(ii) hires or avails of any service for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any beneficiary of such service other than the person who hires or avails of the services for consideration paid or promised, or partly paid and partly promised, or under any system of deferred payment, when such services are availed of with the approval of the first mentioned person, but does not include a person who avails of such service for any commercial purpose;

Explanation — For the purposes of this clause, —

(a) the expression "commercial purpose" does not include use by a person of goods bought and used by him exclusively for the purpose of earning his livelihood, by means of self-employment;

(b) the expressions "buys any goods" and "hires or avails any services" includes offline or online transactions through electronic means or by teleshopping or direct selling or multi-level marketing;

(17) "counterfeit goods" means goods which use, in a manner that is likely to mislead a consumer, a trademark or trade name or logo or any other distinctive mark that is identical to or deceptively similar to that of registered proprietor without authorisation;

(18) "defect" means any fault, imperfection or shortcoming in the quality, quantity, potency, purity or standard which is required to be maintained by or under any law for the time being in force or as is claimed by the trader in any manner whatsoever in relation to any goods and the expression "defective" shall be construed accordingly;

(19) "deficiency" means any fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance which is required to be maintained by or under any law for the time being in force or has been undertaken to be performed by a person in pursuance of a contract or otherwise in relation to any service and includes —

(i) any act of negligence or omission or commission by such person which causes loss or injury to the consumer; and

(ii) deliberate withholding of relevant information by such person to the consumer;

(20) "direct selling" means marketing, distribution and sale of goods or provision of services through a network of sellers, other than through a permanent retail location;

(21) "direct selling entity" means a person who is engaged in the business of selling or distribution of goods or providing any service through a network of sellers;

(22) "District Commission" means a Consumer Disputes Redressal Commission established in a district under section 28;

(23) "document" includes—

(i) any matter written, expressed or described upon any substance by means of letters, figures or marks, or by more than one of those means, intended to be used, or which may be used, for the purpose of recording that matter;

(ii) any photographs, including still photograph, photographic plate, photo-lithograph, photogram and photostat;

(iii) any matter, recorded, stored, processed, retrieved or produced by any computer or any other electronic device or any other facility or combination of two or more such facilities;

(24) "e-commerce" means buying or selling of goods or services including digital products over digital or electronic network;

(25) "e-commerce entity" means any person who owns, operates or manages digital or electronic facility or platform for electronic commerce, but does not include a seller offering his goods or services for sale on a marketplace e-commerce entity;

(26) "electronic record" has the same meaning as assigned to it in clause (t) of sub-section (1) of section 2 of the Information Technology Act, 2000;

(27) "electronic service provider" has the same meaning as assigned to it in clause (ha) of sub-section (1) of section 2 of the Information Technology Act, 2000;

(28) "endorser" means a person who represents a brand or service provider or manufacturer of goods for a consideration or a contractual obligation or otherwise;

(29) "goods" means every kind of movable property and includes—

(i) a product which is capable of delivery either as goods or services, including an intangible property in goods such as software, information and the like contained in such goods but does not include actionable claims, currency or negotiable instruments;

(ii) products used in construction of immovable properties;

(30) "harm" includes injury or damage caused to any consumer arising out of a defective product or deficiency in services but does not include any injury caused by any of the reason mentioned in sub-section (5) of section 86;

(31) "injury" means any harm whatever illegally caused to any person, in body, mind, reputation or property, and includes harassment or loss of employment, caused due to failure on the part of product manufacturer, product service provider or product seller to prevent such harm, while such product or service was being used by such person, if such use was in accordance with the express or implied warranty or affirmation of fact or promise or description or sample given, displayed or produced by or on behalf of the seller, service provider or manufacturer;

(32) "marketplace e-commerce entity" means an entity which provides information technology platform on a digital and electronic network to facilitate the transactions between the buyers and the sellers;

(33) "mediator" means a mediator appointed under section 75;

(34) "member" means a member of a National Commission, the State Commission or the District Commission and includes the President thereof;

(35) "National Commission" means the National Consumer Disputes Redressal Commission established under section 53;

(36) "notification" means a notification published in the Official Gazette;

(37) "person" includes—

(i) a company or body corporate;

(ii) a partnership firm, whether registered or not;

(iii) Hindu undivided family;

(iv) co-operative society;

(v) a trust;

(vi) any other association of individuals, by whatever name called;

(40) "prescribed" means prescribed by rules made by the Central Government or the State Government, as the case may be, under this Act;

(41) "President" means the President of the National Commission, or the State Commission or the District Commission, as the case may be;

(42) "product" means any article or goods or substance or raw material or any extended cycle of such product, which may be in gaseous, liquid or solid state possessing intrinsic value which is capable of delivery either as wholly assembled or as a component part and is produced for introduction to trade or commerce, but does not include human tissues, blood, blood products and organs;

(43) "product liability" means the liability of a product manufacturer, product service provider or product seller, of any product or service, to compensate for any harm caused to a consumer by such defective product manufactured or sold or by deficiency in services relating thereto;

(44) "product liability action" means a complaint filed against the product manufacturer or the product seller or product service provider for any harm caused to a consumer on account of defect in a product manufactured or deficiency in services relating thereto;

(45) "product manufacturer" means a person who —

(i) makes a finished product;

(ii) assembles parts made by others and claims the end-product to be goods manufactured by himself; or

(iii) puts or causes to be put his own mark on any product made by any other person and claims such end product to be goods manufactured by himself;

(46) "product seller" means a person who, in the course of carrying on a business, sells, distributes, leases, instals, prepares, packages, labels, markets, repairs, maintains, refurbishes or otherwise is involved in placing a product for commercial purpose and includes a service provider;

(47) "product service provider" means a person engaged in the business of providing services relating to installation, repair, maintenance of products which affect the safety of consumer;

(48) "public premises" means any premises owned, controlled or occupied by a Government company or includes any accommodation in any premises taken on rent or on lease by a Government or Government company, a co-operative society, whether registered under the Co-operative Societies Act, 1912 or the Multi State Co-operative Societies Act, 2002 or any other law for the time being in force, or a local authority;

(49) "recall" means the process by which a manufacturer or a service provider eliminates the defect in a product or deficiency in service within a specific time limit by repair, replacement, take-back, refund either at the place of manufacture or at the point of sale or any other suitable location;

(50) "regulations" means regulations made by the National Commission or the Central Authority, as the case may be;

(51) "restrictive trade practice" means a trade practice which tends to bring about manipulation of price or its conditions of delivery or to affect flow of supplies in the market relating to goods or services in such a manner as to impose on the consumers unjustified costs or restrictions and shall include—

(a) delay beyond the period agreed to by a trader in supply of such goods or in providing the services which has led or is likely to lead to rise in the price;

(b) any trade practice which requires a consumer to buy, hire or avail of any goods or, as the case may be, services as condition precedent to buying, hiring or availing of other goods or services;

(52) "service" means service of any description which is made available to potential users and includes, but not limited to, the provision of facilities in connection with banking, financing, insurance, transport, processing, supply of electrical or other energy, telecom, boarding or lodging or both, housing construction, entertainment, amusement or the purveying of news or other information, but does not include the rendering of any service free of charge or under a contract of personal service;

(53) "spurious goods" means such goods which are falsely claimed to be genuine;

(54) "State Commission" means a Consumer Disputes Redressal Commission established in a State under section 42;

(55) "trader" in relation to any goods, means a person who sells or distributes any goods for sale and includes the manufacturer thereof, and where such goods are sold or distributed in package form, includes the packer thereof;

(56) "unfair contract" means a contract between a manufacturer or trader or service provider on one hand, and a consumer on the other, having such terms which cause a significant change in the rights of the consumer, including the following, namely: —

- (i) requiring manifestly excessive security deposits to be given by a consumer for the performance of contractual obligations;
- (ii) imposing any penalty on the consumer, for the breach of contract thereof, which is wholly disproportionate to the loss occurred due to such breach to the other party to the contract;
- (iii) refusing to accept early repayment of debts on payment of applicable penalty;
- (iv) entitling a party to the contract to terminate such contract unilaterally, without reasonable cause;
- (v) permitting or has the effect of permitting one party to assign the contract to the detriment of the other party, without his consent;
- (vi) imposing on the consumer any unreasonable charge, obligation or condition which puts such consumer at a disadvantage;

(57) "unfair trade practice" means a trade practice which, for the purpose of promoting the sale, use or supply of any goods or for the provision of any service, adopts any unfair method or unfair or deceptive practice including any of the following practices, namely: —

- (1) making any statement, whether orally or in writing or by visible representation including by means of electronic record, which —
 - (i) falsely represents that the goods are of a particular standard, quality, quantity, grade, composition, style or model;
 - (ii) falsely represents that the services are of a particular standard, quality or grade;

- (iii) falsely represents any re-built, second-hand, renovated, reconditioned or old goods as new goods;
- (iv) represents that the goods or services have sponsorship, approval, performance, characteristics, accessories, uses or benefits which such goods or services do not have;
- (v) represents that the seller or the supplier has a sponsorship or approval or affiliation which such seller or supplier does not have;
- (vi) makes a false or misleading representation concerning the need for, or the usefulness of, any goods or services;
- (vii) gives to the public any warranty or guarantee of the performance, efficacy or length of life of the goods, that is not based on an adequate or proper test thereof;
- (viii) makes to the public a representation in the form that purports to be —
 - (a) a warranty or guarantee of the goods or services; or
 - (b) a promise to replace, maintain or repair the goods until it has been reduced to writing, the representation has not been reduced to writing;
- (ix) materially misleads the public about the prices at which such goods or services are available in the market; or
- (x) gives false or misleading facts disparaging the goods, services or trade of another person.

Explanation—For the purposes of this clause, a statement that is—

- (a) expressed on an article or its wrapper or container; or
- (b) expressed on anything attached to an article or to an article, wrapper or container; or
- (c) expressed on anything on which the article is mounted for display or exposure to the public; or
- (d) contained in or on anything that is sold, sent, delivered, transmitted or in any other manner whatsoever made available to a member of the public,

shall be deemed to be a statement made to the public by, and only by, the person who had caused the statement to be so expressed, made or contained;

(2) permits the publication of any advertisement whether in any newspaper or otherwise, for the sale or supply at a bargain price, of goods or services that are not intended to be offered for sale or supply at the bargain price, or for a period that is, and in quantities that are, reasonable, having regard to the nature of the market in which the business is carried on, the nature and size of business, and the nature of the advertisement;

Explanation—For the purposes of this clause, "bargain price" means—

(a) a price that is stated in any advertisement to be a bargain price, by reference to an ordinary price or otherwise; or

(b) a price that a person who reads, hears or sees the advertisement, would reasonably understand to be a bargain price having regard to the prices at which the product advertised or like products are ordinarily sold;

(3) permits—

(i) the offering of gifts, prizes or other items along with the goods when the real intention is different, or

(ii) the creation of impression that something is being given or offered free of charge when it is fully or partly covered by the amount charged in the transaction as a whole;

(4) permits the conduct of any contest, lottery, game of chance or skill, for the purpose of promoting, directly or indirectly, the sale, use or supply of any product or any business interest except on non-discriminatory terms and in accordance with the guidelines as may be made by the Central Government in this behalf;

(5) permits the withholding from the participants of any information relating to—

(i) the number and value of the prizes in a scheme or arrangement for offering prizes; or

(ii) the terms and conditions of the scheme or arrangement; or

(iii) the fact that any event, occurrence or contingency on which the winning of a prize is dependent, is under the control of any person, persons or group of persons;

(6) permits the sale or supply of goods intended to be used, or are of a kind likely to be used by consumers, knowing or having reason to believe that the goods do not comply with the standards prescribed by competent authority relating to performance, composition, contents, design, constructions, finishing or packaging as are necessary to prevent or reduce the risk of injury to the person using the goods;

(7) permits the hoarding or destruction of goods, or refuses to sell the goods or make them available for sale or to provide any service, if such hoarding or destruction or refusal raises or tends to raise or is intended to raise, the cost of those or other similar goods or services;

(8) does not issue bill or cash memo or receipt for the goods sold or service provided in such manner as may be prescribed;

(9) refuses to take back goods sold or withdraw services provided of his own accord and refund the consideration thereof within the period stipulated in the bill or memorandum or receipt if any defect is brought to the notice of the seller or service provider within such period:

Provided that where any period is not stipulated in the bill or memorandum or receipt, such a period shall be thirty days from the date on which goods are sold or services are provided;

(10) disclosing to other person any personal information given in confidence by the consumer unless such disclosure is made in accordance with the provisions of any other law for the time being in force.

CHAPTER II

CONSUMER PROTECTION COUNCILS

Section 3. Central Consumer Protection Council.

(1) The Central Government shall, by notification, establish with effect from such date as it may specify in such notification, a Council to be known as the Central Consumer Protection Council (hereinafter referred to as the Central Council).

(2) The Central Council shall consist of the following members, namely: —

(a) the Minister in charge of the consumer affairs in the Central Government, who shall be its Chairperson; and

(b) such number of other official or non-official members representing such interests as may be prescribed.

Section 4. Procedure for meetings of Central Council.

(1) The Central Council shall meet as and when necessary, but not less than once in every year, at such time and place as the Chairperson may think fit.

(2) The Central Council shall regulate its own procedure for conducting the meetings.

(3) All the members of the Central Council, other than those who are Members of Parliament or State Legislature or officials, shall be paid such allowances and fees for attending the meetings of the Central Council as may be prescribed.

Section 5. Objects of Central Council.

The objects of the Central Council shall be to promote and protect the rights of the consumers such as, —

- (a) the right to be protected against the marketing of goods, products or services which are hazardous to life and property;
 - (b) the right to be informed about the quality, quantity, potency, purity, standard and price of goods, products or services, as the case may be, so as to protect the consumer against unfair trade practices;
 - (c) the right to be assured, wherever possible, access to a variety of goods, products or services at competitive prices;
 - (d) the right to be heard and to be assured that consumer's interests will receive due consideration at appropriate forums;
 - (e) the right to seek redressal against unfair trade practice or restrictive trade practices or unscrupulous exploitation of consumers; and
 - (f) the right to consumer awareness.
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Section 6. State Consumer Protection Councils.

- (1) The State Government shall, by notification, establish with effect from such date as it may specify in such notification, a Council to be known as the Consumer Protection Council (hereinafter referred to as the State Council).
 - (2) The State Council shall consist of the following members, namely:—
 - (a) the Minister in charge of consumer affairs in the State Government, who shall be its Chairperson; and
 - (b) such number of other official or non-official members representing such interests as may be prescribed by the State Government.
 - (3) The State Council shall meet as and when necessary but not less than two meetings shall be held every year.
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(4) The provisions of sub-sections (2) and (3) of section 4 shall apply to meetings of the State Council as they apply to the meetings of the Central Council.

Section 7. Objects of State Council.

The objects of every State Council shall be to promote and protect within the State the rights of the consumers laid down in clauses (a) to (f) of section 5.

Section 8. District Consumer Protection Council.

(1) The State Government shall, by notification, establish with effect from such date as it may specify in such notification, a Council to be known as the District Consumer Protection Council (hereinafter referred to as the District Council) in every district of the State.

(2) The District Council shall consist of the following members, namely:—

(a) the Collector of the district (by whatever name called), who shall be its Chairperson; and

(b) such number of other official and non-official members representing such interests as may be prescribed by the State Government.

(3) The District Council shall meet as and when necessary, but not less than two meetings shall be held every year.

(4) The provisions of sub-sections (2) and (3) of section 4 shall apply to the meetings of the District Council as they apply to the meetings of the Central Council.

Section 9. Objects of District Council.

The objects of every District Council shall be to promote and protect within the district the rights of the consumers laid down in clauses (a) to (f) of section 5.

 SUMMARY TABLE: Consumer Protection Councils

Council Level	Established By	Chairperson	Minimum Meetings
Central Council	Central Government	Minister in charge of Consumer Affairs (Central)	Once per year
State Council	State Government	Minister in charge of Consumer Affairs (State)	Twice per year
District Council	State Government	District Collector	Twice per year

CHAPTER III

CENTRAL CONSUMER PROTECTION AUTHORITY

Section 10. Establishment of Central Consumer Protection Authority.

(1) The Central Government shall, by notification, establish with effect from such date as it may specify in that notification, a Central Consumer Protection Authority to be known as the Central Authority to regulate matters relating to violation of rights of consumers, unfair trade practices and false or misleading advertisements which are prejudicial to the interests of public and consumers and to promote, protect and enforce the rights of consumers as a class.

(2) The Central Authority shall consist of a Chief Commissioner and such number of other Commissioners as may be prescribed, to be appointed by the Central Government to exercise the powers and discharge the functions under this Act.

(3) The headquarters of the Central Authority shall be at such place in the National Capital Region of Delhi, and it shall have regional and other offices in any other place in India as the Central Government may decide.

Section 11. Qualifications, method of recruitment, etc., of Chief Commissioner and Commissioners.

The Central Government may, by notification, make rules to provide for the qualifications for appointment, method of recruitment, procedure for appointment, term of office, salaries and allowances, resignation, removal and other terms and conditions of the service of the Chief Commissioner and Commissioners of the Central Authority.

Section 12. Vacancy, etc., not to invalidate proceedings of Central Authority.

No act or proceeding of the Central Authority shall be invalid merely by reason of-

(a) any vacancy in, or any defect in the constitution of, the Central Authority; or

(b) any defect in the appointment of a person acting as the Chief Commissioner or as a Commissioner; or

(c) any irregularity in the procedure of the Central Authority not affecting the merits of the case.

Section 13. Appointment of officers, experts, professionals and other employees of Central Authority.

(1) The Central Government shall provide the Central Authority such number of officers and other employees as it considers necessary for the efficient performance of its functions under this Act.

(2) The salaries and allowances payable to, and the other terms and conditions of service of, the officers and other employees of the Central Authority appointed under this Act shall be such as may be prescribed.

(3) The Central Authority may engage, in accordance with the procedure specified by regulations, such number of experts and professionals of integrity and ability, who have special knowledge and experience in the areas of consumer rights and welfare, consumer policy, law, medicine, food safety, health, engineering, product safety, commerce, economics, public affairs or administration, as it deems necessary to assist it in the discharge of its functions under this Act.

Section 14. Procedure of Central Authority.

(1) The Central Authority shall regulate the procedure for transaction of its business and allocation of its business amongst the Chief Commissioner and Commissioners as may be specified by regulations.

(2) The Chief Commissioner shall have the powers of general superintendence, direction and control in respect of all administrative matters of the Central Authority:

Provided that the Chief Commissioner may delegate such of his powers relating to administrative matters of the Central Authority, as he may think fit, to any Commissioner (including Commissioner of a regional office) or any other officer of the Central Authority.

Section 15. Investigation Wing.

- (1) The Central Authority shall have an Investigation Wing headed by a Director-General for the purpose of conducting inquiry or investigation under this Act as may be directed by the Central Authority.
 - (2) The Central Government may appoint a Director-General and such number of Additional Director-General, Director, Joint Director, Deputy Director and Assistant Director, from amongst persons who have experience in investigation and possess such qualifications, in such manner, as may be prescribed.
 - (3) Every Additional Director-General, Director, Joint Director, Deputy Director and Assistant Director shall exercise his powers, and discharge his functions, subject to the general control, supervision and direction of the Director-General.
 - (4) The Director-General may delegate all or any of his powers to the Additional Director-General or Director, Joint Director or Deputy Director or Assistant Director, as the case may be, while conducting inquiries or investigations under this Act.
 - (5) The inquiries or the investigations made by the Director-General shall be submitted to the Central Authority in such form, in such manner and within such time, as may be specified by regulations.
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Section 16. Power of District Collector.

The District Collector (by whatever name called) may, on a complaint or on a reference made to him by the Central Authority or the Commissioner of a regional office, inquire into or investigate complaints regarding violation of rights of consumers as a class, on

matters relating to violations of consumer rights, unfair trade practices and false or misleading advertisements, within his jurisdiction and submit his report to the Central Authority or to the Commissioner of a regional office, as the case may be.

Section 17. Complaints to authorities.

A complaint relating to violation of consumer rights or unfair trade practices or false or misleading advertisements which are prejudicial to the interests of consumers as a class, may be forwarded either in writing or in electronic mode, to any one of the authorities, namely, the District Collector or the Commissioner of regional office or the Central Authority.

Section 18. Powers and functions of Central Authority.

(1) The Central Authority shall-

- (a) protect, promote and enforce the rights of consumers as a class, and prevent violation of consumers rights under this Act;
- (b) prevent unfair trade practices and ensure that no person engages himself in unfair trade practices;
- (c) ensure that no false or misleading advertisement is made of any goods or services which contravenes the provisions of this Act or the rules or regulations made thereunder;
- (d) ensure that no person takes part in the publication of any advertisement which is false or misleading.

(2) Without prejudice to the generality of the provisions contained in sub-section (1), the Central Authority may, for any of the purposes aforesaid,-

- (a) inquire or cause an inquiry or investigation to be made into violations of consumer rights or unfair trade practices, either suo motu or on a complaint received or on the directions from the Central Government;
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- (b) file complaints before the District Commission, the State Commission or the National Commission, as the case may be, under this Act;
- (c) intervene in any proceedings before the District Commission or the State Commission or the National Commission, as the case may be, in respect of any allegation of violation of consumer rights or unfair trade practices;
- (d) review the matters relating to, and the factors inhibiting enjoyment of, consumer rights, including safeguards provided for the protection of consumers under any other law for the time being in force and recommend appropriate remedial measures for their effective implementation;
- (e) recommend adoption of international covenants and best international practices on consumer rights to ensure effective enforcement of consumer rights;
- (f) undertake and promote research in the field of consumer rights;
- (g) spread and promote awareness on consumer rights;
- (h) encourage non-Governmental organisations and other institutions working in the field of consumer rights to co-operate and work with consumer protection agencies;
- (i) mandate the use of unique and universal goods identifiers in such goods, as may be necessary, to prevent unfair trade practices and to protect consumers' interest;
- (j) issue safety notices to alert consumers against dangerous or hazardous or unsafe goods or services;
- (k) advise the Ministries and Departments of the Central and State Governments on consumer welfare measures;
- (l) issue necessary guidelines to prevent unfair trade practices and protect consumers' interest.

Section 19. Power of Central Authority to refer matter for investigation or to other Regulator.

(1) The Central Authority may, after receiving any information or complaint or directions from the Central Government or of its own motion, conduct or cause to be conducted a preliminary inquiry as to whether there exists a prima facie case of violation of consumer rights or any unfair trade practice or any false or misleading advertisement, by any person, which is prejudicial to the public interest or to the interests of consumers and if it is satisfied that there exists a prima facie case, it shall cause investigation to be made by the Director- General or by the District Collector.

(2) Where, after preliminary inquiry, the Central Authority is of the opinion that the matter is to be dealt with by a Regulator established under any other law for the time being in force, it may refer such matter to the concerned Regulator along with its report.

(3) For the purposes of investigation under sub-section (1), the Central Authority, the Director General or the District Collector may call upon a person referred to in sub-section (1) and also direct him to produce any document or record in his possession.

Section 20. Power of Central Authority to recall goods, etc.

Where the Central Authority is satisfied on the basis of investigation that there is sufficient evidence to show violation of consumer rights or unfair trade practice by a person, it may pass such order as may be necessary, including-

- (a) recalling of goods or withdrawal of services which are dangerous, hazardous or unsafe;
- (b) reimbursement of the prices of goods or services so recalled to purchasers of such goods or services; and
- (c) discontinuation of practices which are unfair and prejudicial to consumers' interest:

Provided that the Central Authority shall give the person an opportunity of being heard before passing an order under this section.

Section 21. Power of Central Authority to issue directions and penalties against false or misleading advertisements.

(1) Where the Central Authority is satisfied after investigation that any advertisement is false or misleading and is prejudicial to the interest of any consumer or is in contravention of consumer rights, it may, by order, issue directions to the concerned trader or manufacturer or endorser or advertiser or publisher, as the case may be, to discontinue such advertisement or to modify the same in such manner and within such time as may be specified in that order.

(2) Notwithstanding the order passed under sub-section (1), if the Central Authority is of the opinion that it is necessary to impose a penalty in respect of such false or misleading advertisement, by a manufacturer or an endorser, it may, by order, impose on manufacturer or endorser a penalty which may extend to **ten lakh rupees**:

Provided that the Central Authority may, for every subsequent contravention by a manufacturer or endorser, impose a penalty, which may extend to **fifty lakh rupees**.

(3) Notwithstanding any order under sub-sections (1) and (2), where the Central Authority deems it necessary, it may, by order, prohibit the endorser of a false or misleading advertisement from making endorsement of any product or service for a period which may extend to **one year**:

Provided that the Central Authority may, for every subsequent contravention, prohibit such endorser from making endorsement in respect of any product or service for a period which may extend to **three years**.

(4) Where the Central Authority is satisfied after investigation that any person is found to publish, or is a party to the publication of, a misleading advertisement, it may impose on such person a penalty which may extend to **ten lakh rupees**.

(5) No endorser shall be liable to a penalty under sub-sections (2) and (3) if he has exercised due diligence to verify the veracity of the claims made in the advertisement regarding the product or service being endorsed by him.

(6) No person shall be liable to such penalty if he proves that he had published or arranged for the publication of such advertisement in the ordinary course of his business:

Provided that no such defence shall be available to such person if he had previous knowledge of the order passed by the Central Authority for withdrawal or modification of such advertisement.

(7) While determining the penalty under this section, regard shall be had to the following, namely:-

(a) the population and the area impacted or affected by such offence;

(b) the frequency and duration of such offence;

(c) the vulnerability of the class of persons likely to be adversely affected by such offence; and

(d) the gross revenue from the sales effected by virtue of such offence.

(8) The Central Authority shall give the person an opportunity of being heard before an order under this section is passed.

 **PROPOSED AMENDMENT (2023 - NOT YET ENACTED):** The Consumer Protection (Amendment) Bill, 2023 was introduced on **January 19, 2024**, proposing to substitute Section 89 (Punishment for false or misleading advertisement) to increase penalties from **2 years/₹10 lakh** to **2 years/₹10 lakh (first offence)** and **5 years/₹50 lakh (subsequent offence)**. This Bill has NOT been passed into law as of January 2025.

Section 22. Search and seizure.

(1) For the purpose of conducting an investigation after preliminary inquiry under subsection (1) of section 19, the Director-General or any other officer authorised by him in this behalf, or the District Collector, as the case may be, may, if he has any reason to believe that any person has violated any consumer rights or committed unfair trade practice or causes any false or misleading advertisement to be made, shall,-

(a) enter at any reasonable time into any such premises and search for any document or record or article or any other form of evidence and seize such document, record, article or such evidence;

(b) make a note or an inventory of such record or article; or

(c) require any person to produce any record, register or other document or article.

(2) The provisions of the Code of Criminal Procedure, 1973, relating to search and seizure shall apply, as far as may be, for search and seizure under this Act **(2 of 1974)**.

(3) Every document, record or article seized under clause (a) of sub-section (1) or produced under clause (c) of that sub-section shall be returned to the person, from whom they were seized or who produced the same, within a period of **twenty days** of the date of such seizure or production, as the case may be, after copies thereof or extracts therefrom certified by that person, in such manner as may be prescribed, have been taken.

(4) Where any article seized under sub-section (1) are subject to speedy or natural decay, the Director-General or such other officer may dispose of the article in such manner as may be prescribed.

(5) In the case of articles other than the articles referred to in sub-section (4), provisions contained in clause (c) of sub-section (2) of section 38 shall mutatis mutandis apply in relation to analysis or tests.

Section 23. Designation of any statutory authority or body to function as Central Authority.

The Central Government may, if it considers necessary, by notification, designate any statutory authority or body to exercise the powers and perform the functions of the Central Authority referred to in section 10.

Section 24. Appeal.

A person aggrieved by any order passed by the Central Authority under sections 20 and 21 may file an appeal to the National Commission within a period of **thirty days** from the date of receipt of such order.

Section 25. Grants by Central Government.

The Central Government may, after due appropriation made by Parliament by law in this behalf, make to the Central Authority grants of such sums of money as that Government may think fit for being utilised for the purposes of this Act.

Section 26. Accounts and audit.

(1) The Central Authority shall maintain proper accounts and other relevant records and prepare an annual statement of accounts in such form and manner as may be prescribed in consultation with the Comptroller and Auditor-General of India.

(2) The accounts of the Central Authority shall be audited by the Comptroller and Auditor-General of India at such intervals as may be specified by him and any expenditure incurred in connection with such audit shall be payable by the Central Authority to the Comptroller and Auditor-General of India.

(3) The Comptroller and Auditor-General of India or any other person appointed by him in connection with the audit of the accounts of the Central Authority shall have the same rights, privileges and authority in connection with such audit as the Comptroller and Auditor-General of India generally has, in connection with the audit of the Government accounts and, in particular, shall have the right to demand the production of books, accounts, connected vouchers and other documents and papers and to inspect any of the offices of the Central Authority.

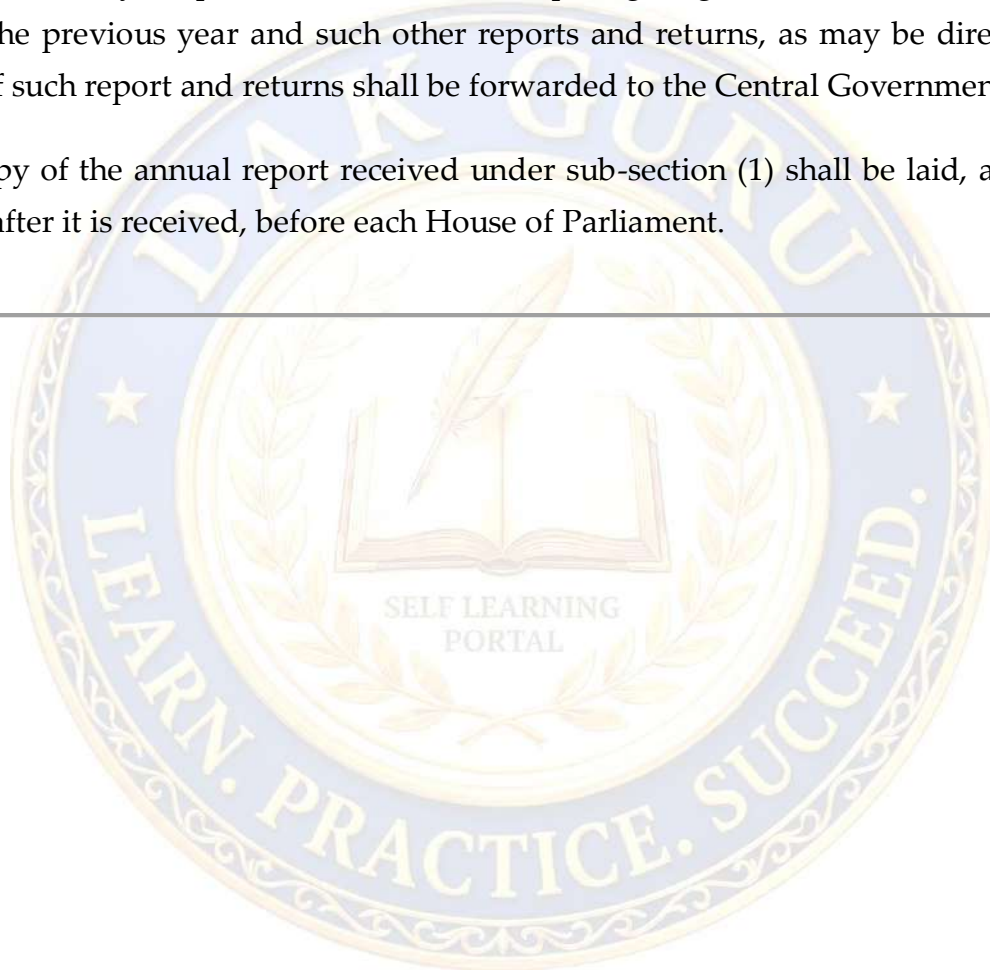
(4) The accounts of the Central Authority as certified by the Comptroller and Auditor-General of India or any other person appointed by him in this behalf together with the

audit report thereon shall be forwarded annually to the Central Government which shall cause the same to be laid before each House of Parliament.

Section 27. Furnishing of annual reports, etc.

(1) The Central Authority shall prepare once in every year, in such form, manner and at such time as may be prescribed, an annual report giving full account of its activities during the previous year and such other reports and returns, as may be directed, and copies of such report and returns shall be forwarded to the Central Government.

(2) A copy of the annual report received under sub-section (1) shall be laid, as soon as may be after it is received, before each House of Parliament.



 SUMMARY TABLE: Central Consumer Protection Authority

Component	Details
Establishment	By Central Government notification
Composition	Chief Commissioner + Prescribed number of Commissioners
Headquarters	National Capital Region of Delhi
Investigation Wing	Headed by Director-General
Penalty for False Advertisement (Manufacturer/Endorser)	First offence: ₹10 lakh Subsequent offence: ₹50 lakh
Endorsement Ban Period	First offence: 1 year Subsequent offence: 3 years
Appeal Period	30 days to National Commission
Seized Document Return Period	20 days

CHAPTER IV

CONSUMER DISPUTES REDRESSAL COMMISSION

Section 28. Establishment of District Consumer Disputes Redressal Commission.

(1) The State Government shall, by notification, establish a District Consumer Disputes Redressal Commission, to be known as the District Commission, in each district of the State:

Provided that the State Government may, if it deems fit, establish more than one District Commission in a district.

(2) Each District Commission shall consist of-

(a) a President; and

(b) not less than **two** and not more than such number of members as may be prescribed, in consultation with the Central Government.

Section 29. Qualifications, etc., of President and members of District Commission.

The Central Government may, by notification, make rules to provide for the qualifications, method of recruitment, procedure for appointment, term of office, resignation and removal of the President and members of the District Commission.

Section 30. Salaries, allowances and other terms and conditions of service of President and members of District Commission.

The State Government may, by notification, make rules to provide for salaries and allowances and other terms and conditions of service of the President, and members of the District Commission.

Section 31. Transitional provision.

Any person appointed as President or, as the case may be, a member of the District Commission immediately before the commencement of this Act shall hold office as such as President or, as the case may be, as member till the completion of his term for which he has been appointed.

Section 32. Vacancy in office of member of District Commission.

If, at any time, there is a vacancy in the office of the President or member of a District Commission, the State Government may, by notification, direct-

- (a) any other District Commission specified in that notification to exercise the jurisdiction in respect of that district also; or
 - (b) the President or a member of any other District Commission specified in that notification to exercise the powers and discharge the functions of the President or member of that District Commission also.
-

Section 33. Officers and other employees of District Commission.

- (1) The State Government shall provide the District Commission with such officers and other employees as may be required to assist the District Commission in the discharge of its functions.
 - (2) The officers and other employees of the District Commission shall discharge their functions under the general superintendence of the President of the District Commission.
 - (3) The salaries and allowances payable to, and the other terms and conditions of service of, the officers and other employees of the District Commission shall be such as may be prescribed.
-

Section 34. Jurisdiction of District Commission.

(1) Subject to the other provisions of this Act, the District Commission shall have jurisdiction to entertain complaints where the value of the goods or services paid as consideration does not exceed **Fifty Lakh rupees**:

Provided that where the Central Government deems it necessary so to do, it may prescribe such other value, as it deems fit.

(2) A complaint shall be instituted in a District Commission within the local limits of whose jurisdiction,-

(a) the opposite party or each of the opposite parties, where there are more than one, at the time of the institution of the complaint, ordinarily resides or carries on business or has a branch office or personally works for gain; or

(b) any of the opposite parties, where there are more than one, at the time of the institution of the complaint, actually and voluntarily resides, or carries on business or has a branch office, or personally works for gain, provided that in such case the permission of the District Commission is given; or

(c) the cause of action, wholly or in part, arises; or

(d) the complainant resides or personally works for gain.

(3) The District Commission shall ordinarily function in the district headquarters and may perform its functions at such other place in the district, as the State Government may, in consultation with the State Commission, notify in the Official Gazette from time to time.

Section 35. Manner in which complaint shall be made.

(1) A complaint, in relation to any goods sold or delivered or agreed to be sold or delivered or any service provided or agreed to be provided, may be filed with a District Commission by-

(a) the consumer,-

(i) to whom such goods are sold or delivered or agreed to be sold or delivered or such service is provided or agreed to be provided; or

(ii) who alleges unfair trade practice in respect of such goods or service;

(b) any recognised consumer association, whether the consumer to whom such goods are sold or delivered or agreed to be sold or delivered or such service is provided or agreed to be provided, or who alleges unfair trade practice in respect of such goods or service, is a member of such association or not;

(c) one or more consumers, where there are numerous consumers having the same interest, with the permission of the District Commission, on behalf of, or for the benefit of, all consumers so interested; or

(d) the Central Government, the Central Authority or the State Government, as the case may be:

Provided that the complaint under this sub-section may be filed electronically in such manner as may be prescribed.

Explanation—For the purposes of this sub-section, "recognised consumer association" means any voluntary consumer association registered under any law for the time being in force.

(2) Every complaint filed under sub-section (1) shall be accompanied with such fee and payable in such manner, including electronic form, as may be prescribed.

Section 36. Proceedings before District Commission.

(1) Every proceeding before the District Commission shall be conducted by the President of that Commission and atleast one member thereof, sitting together:

Provided that where a member, for any reason, is unable to conduct a proceeding till it is completed, the President and the other member shall continue the proceeding from the stage at which it was last heard by the previous member.

(2) On receipt of a complaint made under section 35, the District Commission may, by order, admit the complaint for being proceeded with or reject the same:

Provided that a complaint shall not be rejected under this section unless an opportunity of being heard has been given to the complainant:

Provided further that the admissibility of the complaint shall ordinarily be decided within **twenty-one days** from the date on which the complaint was filed.

(3) Where the District Commission does not decide the issue of admissibility of the complaint within the period so specified, it shall be deemed to have been admitted.

Section 37. Reference to mediation.

(1) At the first hearing of the complaint after its admission, or at any later stage, if it appears to the District Commission that there exists elements of a settlement which may be acceptable to the parties, except in such cases as may be prescribed, it may direct the parties to give in writing, within five days, consent to have their dispute settled by mediation in accordance with the provisions of Chapter V.

(2) Where the parties agree for settlement by mediation and give their consent in writing, the District Commission shall, within five days of receipt of such consent, refer the matter for mediation, and in such case, the provisions of Chapter V, relating to mediation, shall apply.

Section 38. Procedure on admission of complaint.

(1) The District Commission shall, on admission of a complaint, or in respect of cases referred for mediation on failure of settlement by mediation, proceed with such complaint.

(2) Where the complaint relates to any goods, the District Commission shall, —

(a) refer a copy of the admitted complaint, within twenty-one days from the date of its admission to the opposite party mentioned in the complaint directing him to give his version of the case within a period of thirty days or such extended period not exceeding fifteen days as may be granted by it;

(b) if the opposite party on receipt of a complaint referred to him under clause (a) denies or disputes the allegations contained in the complaint, or omits or fails to take any action to represent his case within the time given by the District Commission, proceed to settle the consumer dispute in the manner specified in clauses (c) to (g);

(c) if the complaint alleges a defect in the goods which cannot be determined without proper analysis or test of the goods, obtain a sample of the goods from the complainant, seal it and authenticate it in the manner as may be prescribed and refer the sample so sealed to the appropriate laboratory along with a direction that such laboratory to make an analysis or test, whichever may be necessary, with a view to finding out whether such goods suffer from any defect alleged in the complaint or from any other defect and to report its findings thereon to the District Commission within a period of forty-five days of the receipt of the reference or within such extended period as may be granted by the District Commission;

(d) if the report of the appropriate laboratory referred to in clause (c), on its scrutiny, discloses a defect in the goods in question, issue a copy of the report of the laboratory to the opposite party and afford an opportunity to him to offer his comments on the report received from the appropriate laboratory within a period of thirty days or such extended period not exceeding fifteen days as may be granted by the District Commission;

(e) offer an opportunity to the parties to the dispute to be heard and to present evidence and opinion of experts including those obtained by the parties from an appropriate laboratory, on the correctness or otherwise of the findings of the report of the appropriate laboratory and the opinion, if any, of the opposite party offered on the report of the appropriate laboratory;

(f) if any of the parties disputes the correctness of the findings of the appropriate laboratory, or disputes the correctness of the methods of analysis or test adopted by the

appropriate laboratory, require the opposite party or the complainant to submit in writing his objections with regard to the report made by the appropriate laboratory;

(g) give a reasonable opportunity to the complainant as well as the opposite party of being heard as to the correctness or otherwise of the report made by the appropriate laboratory and also as to the objection made in relation thereto under clause (f) and issue an appropriate order under section 39.

(3) The District Commission shall, if the complaint admitted by it under sub-section (2) of section 36 relates to goods in respect of which the procedure specified in sub-section (2) cannot be followed, or if the complaint relates to any services, —

(a) refer a copy of such complaint to the opposite party directing him to give his version of the case within a period of thirty days or such extended period not exceeding fifteen days as may be granted by the District Commission;

(b) if the opposite party, on receipt of a copy of the complaint, referred to him under clause (a) denies or disputes the allegations contained in the complaint, or omits or fails to take any action to represent his case within the time given by the District Commission, it shall proceed to settle the consumer dispute —

(i) on the basis of evidence brought to its notice by the complainant and the opposite party, if the opposite party denies or disputes the allegations contained in the complaint, or

(ii) ex parte on the basis of evidence brought to its notice by the complainant, if the opposite party omits or fails to take any action to represent his case within the time given by the District Commission.

(4) The District Commission may, in appropriate cases, refer any question involved in the consumer dispute to a person or committee or organisation or expert possessing the required qualifications or expert opinion and such person, committee, organisation or expert shall furnish a report within a period as may be specified by the District Commission and such report shall be made available to the parties to the consumer dispute who may file their objections thereto, if any, within a period of thirty days, or such extended period not exceeding fifteen days, and the District Commission may take

the opinion expressed in such report along with such objections into consideration while passing orders on the consumer dispute.

(5) The District Commission may, if necessary so to do, on its own motion or on an application made by the complainant or opposite party, and on being satisfied that the applicant was prevented by sufficient cause from appearing on the date of hearing, adjourn the hearing of the consumer dispute to such other date as it may deem fit.

(6) Where the consumer dispute is adjourned for more than thirty days, the District Commission shall record the reasons in writing for such adjournment.

(7) Every complaint shall be disposed of as expeditiously as possible and endeavour shall be made to decide the complaint within a period of three months from the date of receipt of notice by opposite party where the complaint does not require analysis or testing of the commodities and within five months, if it requires analysis or testing of commodities, or where the complaint is decided as per the procedure as specified in sub-section (3).

(8) The District Commission may, at any stage during the pendency of a complaint or inquiry or at its final disposal, on its own motion or on an application made by a party, pass such interim order or orders, including stay on the complaint or inquiry or attach any property of the opposite party, as it deems fit.

(9) For the purposes of this section, the District Commission shall have the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 (5 of 1908) while trying a suit in respect of the following matters, namely: —

(a) the summoning and enforcing the attendance of any defendant or witness and examining the witness on oath;

(b) requiring the discovery and production of any document or other material object as evidence;

(c) the reception of evidence on affidavits;

(d) the requisitioning of the report of the concerned analysis or test from the appropriate laboratory or from any other relevant source;

- (e) issuing of commissions for the examination of any witness, or document; and
- (f) requiring any person or electronic service provider to provide such information, documents or records, as may be specified in that behalf.
- (10) Every proceeding before the District Commission shall be deemed to be a judicial proceeding within the meaning of sections 193 and 228 of the Indian Penal Code (45 of 1860), and the District Commission shall be deemed to be a criminal court for the purposes of section 195 and Chapter XXVI of the Code of Criminal Procedure, 1973 (2 of 1974).
- (11) Where the complainant is a consumer referred to in sub-clause (v) of clause (5) of section 2, the provisions of Order I Rule 8 of the First Schedule to the Code of Civil Procedure, 1908 (5 of 1908) shall apply subject to the modification that every reference therein to a suit or decree shall be construed as a reference to a complaint or the order of the District Commission thereon.
- (12) In the event of death of a complainant who is a consumer or of the opposite party against whom the complaint has been filed, the provisions of Order XXII of the First Schedule to the Code of Civil Procedure, 1908 (5 of 1908) shall apply subject to the modification that every reference therein to the plaintiff or defendant shall be construed as a reference to the complainant or opposite party, as the case may be.
- (13) No appeal or revision shall lie against an interim order passed by the District Commission unless such appeal or revision has been specifically allowed by the appellate forum.
- (14) No proceeding before the District Commission shall be called in question in any court on the ground that the principles of natural justice have not been complied with.

Section 39. Findings of District Commission.

- (1) If, after the proceeding conducted under section 38, the District Commission is satisfied that the goods complained against suffer from any of the defects specified in the complaint or that any of the allegations contained in the complaint about the services are

proved, it shall issue an order to the opposite party directing him to do one or more of the following things, namely: —

- (a) to remove the defect from the goods in question;
- (b) to replace the goods with new goods of similar description which shall be free from any defect;
- (c) to return to the complainant the price, or, as the case may be, the charges paid by the complainant;
- (d) to pay such amount as may be awarded by it as compensation to the consumer for any loss or injury suffered by the consumer due to the negligence of the opposite party:

Provided that the District Commission shall have the power to grant punitive damages in such circumstances as it deems fit;

- (e) to remove the defects or deficiencies in the services in question;
 - (f) to cease manufacture of hazardous goods or provision of hazardous services and to desist from offering such goods or services for sale;
 - (g) to withdraw the hazardous goods from being offered for sale;
 - (h) to provide for adequate costs to parties.
- (2) It shall be competent for the District Commission to grant such other relief as it deems fit.

Section 40. Review by District Commission in certain cases.

The District Commission shall have the power to review any of the order passed by it if there is an error apparent on the face of the record, either of its own motion or on an application made by any of the parties within thirty days of such order.

Section 41. Appeal against order of District Commission.

Any person aggrieved by an order made by the District Commission may prefer an appeal against such order to the State Commission on the grounds of facts or law within a period of forty-five days from the date of the order, in such form and manner, as may be prescribed:

Provided that the State Commission may entertain an appeal after the expiry of the said period of forty-five days, if it is satisfied that there was sufficient cause for not filing it within that period:

Provided further that no appeal by a person, who is required to pay any amount in terms of an order of the District Commission, shall be entertained by the State Commission unless the appellant has deposited fifty per cent. of that amount in the manner as may be prescribed:

Provided also that no appeal shall lie from any order passed under sub-section (1) of section 81 by the District Commission pursuant to a settlement by mediation under section 80.

Section 42. Establishment of State Consumer Disputes Redressal Commission.

(1) The State Government shall, by notification, establish a State Consumer Disputes Redressal Commission, to be known as the State Commission, in the State.

(2) The State Commission shall ordinarily function at the State capital and perform its functions at such other places as the State Government may in consultation with the State Commission notify in the Official Gazette:

Provided that the State Government may, by notification, establish regional benches of the State Commission, at such places, as it deems fit.

Section 43. Qualifications, etc., of President and members of State Commission.

The Central Government may, by notification, make rules to provide for qualifications, method of recruitment, procedure for appointment, term of office, resignation and removal of the President and members of the State Commission.

Section 44. Salaries, allowances and other terms and conditions of service of President and members of State Commission.

The State Government may, by notification, make rules to provide for salaries and allowances and other terms and conditions of service of the President and members of the State Commission.

Section 45. Transitional provision.

Any person appointed as President or, as the case may be, a member of the State Commission immediately before the commencement of this Act shall hold office as such, as President or member, as the case may be, till the completion of his term.

Section 46. Officers and employees of State Commission.

(1) The State Government shall determine the nature and categories of the officers and other employees required to assist the State Commission in the discharge of its functions and provide the Commission with such officers and other employees as it may think fit.

(2) The salaries and allowances and other conditions of service of the officers and other employees of the State Commission shall be such as may be prescribed.

Section 47. Jurisdiction of State Commission.

(1) Subject to the other provisions of this Act, the State Commission shall have jurisdiction—

(a) to entertain—

(i) complaints where the value of the goods or services and the compensation, if any, claimed **exceeds Fifty Lakh rupees but does not exceed Two Crore rupees**; and

(ii) appeals against the orders of any District Commission within the State; and

(b) to call for the records and pass appropriate orders in any consumer dispute which is pending before or has been decided by any District Commission within the State, where it appears to the State Commission that such District Commission has exercised a jurisdiction not vested in it by law, or has failed to exercise a jurisdiction so vested, or has acted in exercise of its jurisdiction illegally or with material irregularity.

(2) Where any particular District Commission has exercised jurisdiction by wrongly valuing the goods or services, or compensation claimed, the right to appeal against such order shall be determined in accordance with the pecuniary jurisdiction limits specified in sub-section (1).

Section 48. Transfer of cases.

On the application of the complainant or of its own motion, the State Commission may, at any stage of the proceeding, transfer any complaint pending before a District Commission to another District Commission within the State if the interest of justice so requires.

Section 49. Procedure applicable to State Commission.

(1) The provisions relating to complaints under sections 35, 36, 37, 38 and 39 shall, with such modifications as may be necessary, be applicable to the disposal of complaints by the State Commission.

(2) Without prejudice to the provisions of sub-section (1), the State Commission may also declare any terms of contract, which is unfair to any consumer, to be null and void.

Section 50. Review by State Commission in certain cases.

The State Commission shall have the power to review any of the order passed by it if there is an error apparent on the face of the record, either of its own motion or on an application made by any of the parties within thirty days of such order.

Section 51. Appeal to National Commission.

(1) Any person, aggrieved by an order made by the State Commission in exercise of its powers conferred by sub-clause (i) of clause (a) of sub-section (1) of section 47, may prefer an appeal against such order to the National Commission within a period of thirty days from the date of the order in such form, and manner and on payment of such fee as may be prescribed:

Provided that the National Commission may entertain an appeal after the expiry of the said period of thirty days if it is satisfied that there was sufficient cause for not filing it within that period:

Provided further that no appeal by a person who is required to pay any amount in terms of an order of the State Commission shall be entertained by the National Commission unless such person has deposited in the prescribed manner fifty per cent. of that amount or twenty-five crore rupees, whichever is less:

Provided also that no appeal shall lie from any order passed under sub-section (1) of section 81 by the State Commission pursuant to a settlement by mediation under section 80.

(2) Every appeal under sub-section (1) shall be heard as expeditiously as possible and endeavour shall be made to finally dispose of the appeal within a period of ninety days from the date of its admission.

Section 52. Hearing of appeal.

The National Commission may, after giving the parties to the appeal, an opportunity of being heard, pass such orders thereon as it thinks fit.

Section 53. Establishment of National Consumer Disputes Redressal Commission.

(1) The Central Government shall, by notification, establish a National Consumer Disputes Redressal Commission, to be known as the National Commission.

(2) The National Commission shall ordinarily function at the National Capital Region and perform its functions at such other places as the Central Government may in consultation with the National Commission notify in the Official Gazette:

Provided that the Central Government may, by notification, establish regional Benches of the National Commission, at such places, as it deems fit.

Section 54. Composition of National Commission.

The National Commission shall consist of—

(a) a President; and

(b) not less than four or not more than such number of members as may be prescribed in consultation with the Chief Justice of India.

Section 55. Qualifications, etc., of President and members of National Commission.

The Central Government may, by notification, make rules to provide for qualifications, method of recruitment, procedure for appointment, term of office, resignation and removal of the President and members of the National Commission.

Section 56. Transitional provision.

The President and every other member appointed immediately before the commencement of section 177 of the Finance Act, 2017 shall continue to be governed by the provisions of the Consumer Protection Act, 1986 and the rules made thereunder as if this Act had not come into force.

Section 57. Other officers and employees of National Commission.

- (1) The Central Government shall provide, in consultation with the President of the National Commission, such number of officers and other employees to assist the National Commission in the discharge of its functions as it may think fit.
 - (2) The officers and other employees of the National Commission shall discharge their functions under the general superintendence of the President of the National Commission.
 - (3) The salaries and allowances payable to, and the other terms and conditions of service of, the officers and other employees of the National Commission shall be such as may be prescribed.
-

Section 58. Jurisdiction of National Commission.

(1) Subject to the other provisions of this Act, the National Commission shall have jurisdiction—

(a) to entertain—

(i) complaints where the value of the goods or services and compensation, if any, claimed **exceeds Two Crore rupees;**

(ii) appeals against the orders of any State Commission; and

(iii) appeals against the orders of Central Authority; and

(b) to call for the records and pass appropriate orders in any consumer dispute which is pending before or has been decided by any State Commission where it appears to the National Commission that such State Commission has exercised a jurisdiction not vested in it by law, or has failed to exercise a jurisdiction so vested in it, or has acted in the exercise of its jurisdiction illegally or with material irregularity.

(2) Where any particular State Commission has exercised jurisdiction by wrongly valuing the goods or services, or compensation claimed, the right to appeal against such order shall be determined in accordance with the pecuniary jurisdiction limits specified in sub-section (1).

(3) All consumer disputes pending before the National Commission on the date of establishment of regional benches shall be transferred to any such regional bench having jurisdiction over such disputes.

(4) The powers, functions and jurisdiction of the National Commission may be exercised by the regional benches in respect of the area to which they are assigned.

PECUNIARY JURISDICTION TABLE: Consumer Commissions

Commission Level	Pecuniary Jurisdiction	Composition
District Commission	Up to ₹1 crore	1 President + Minimum 2 members
State Commission	₹1 crore to ₹10 crore	1 President + Minimum 4 members
National Commission	Above ₹10 crore	1 President + Minimum 4 members

Section 59. Procedure applicable to National Commission.

- (1) The provisions relating to complaints under sections 35, 36, 37, 38 and 39 shall, with such modifications as may be considered necessary, be applicable to the disposal of complaints by the National Commission.
- (2) Without prejudice to sub-section (1), the National Commission may also declare any terms of contract, which is unfair to any consumer to be null and void.

Section 60. Review by National Commission in certain cases.

The National Commission shall have the power to review any of the order passed by it if there is an error apparent on the face of the record, either of its own motion or on an application made by any of the parties within thirty days of such order.

Section 61. Power to set aside ex parte orders.

Where an order is passed by the National Commission ex parte, the aggrieved party may make an application to the Commission for setting aside such order.

Section 62. Transfer of cases.

On the application of the complainant or of its own motion, the National Commission may, at any stage of the proceeding, in the interest of justice, transfer any complaint pending before the District Commission of one State to a District Commission of another State or before one State Commission to another State Commission.

Section 63. Vacancy in office of President of National Commission.

(1) If, at any time, there is a vacancy in the office of the President of the National Commission, the senior-most member of the National Commission shall act as the President until such vacancy is filled.

(2) Where the President of the National Commission is unable to discharge his functions owing to absence, illness or any other cause, the senior-most member of the National Commission, shall discharge the functions of the President until the President resumes his duties.

Section 64. Vacancies or defects in appointment not to invalidate orders.

No act or proceeding of the National Commission shall be invalid merely by reason of—

- (a) any vacancy in, or any defect in the constitution of, the National Commission; or
 - (b) any defect in the appointment of a person acting as President or as a member of the National Commission; or
 - (c) any irregularity in the procedure of the National Commission not affecting the merits of the case.
-

Section 65. Service of notice, etc.

The District Commission, State Commission and the National Commission may issue notices through post or electronic means to the parties of the complaint, regarding the proceeding in the Commission.

Section 66. Experts to assist National Commission or State Commission.

Where the National Commission or the State Commission, as the case may be, on an application by a complainant or otherwise, is of the opinion that it involves the larger interest of consumers, it may direct any individual or organisation or expert to assist the National Commission or the State Commission, as the case may be.

CONSUMER DISPUTES REDRESSAL COMMISSION

Section 67. Appeal against order of National Commission.

Any person, aggrieved by an order made by the National Commission in exercise of its powers conferred by sub-clause (i) or (ii) of clause (a) of sub-section (1) of section 58, may prefer an appeal against such order to the Supreme Court within a period of **thirty days** from the date of the order:

Provided that the Supreme Court may entertain an appeal after the expiry of the said period of **thirty days** if it is satisfied that there was sufficient cause for not filing it within that period:

Provided further that no appeal by a person, who is required to pay any amount in terms of an order of the National Commission, shall be entertained by the Supreme Court unless the appellant has deposited **fifty per cent.** of that amount in the manner as may be prescribed.

Section 68. Finality of orders.

Every order referred to in section 38 or section 39 of the District Commission and every order made by the State Commission or the National Commission under this Chapter shall, if no appeal has been preferred against such order under the provisions of this Act, be final.

Section 69. Limitation period.

(1) The District Commission, the State Commission or the National Commission shall not admit a complaint unless it is filed within **two years** from the date on which the cause of action has arisen.

(2) Notwithstanding anything contained in sub-section (1), a complaint may be entertained after the period specified in sub-section (1), if the complainant satisfies the Commission that he had sufficient cause for not filing the complaint within such period:

Provided that no such complaint shall be entertained unless the National Commission, the State Commission or the District Commission, as the case may be, records its reasons for condoning such delay.

Section 70. Administrative control.

(1) The National Commission shall have administrative control over all the State Commissions.

(2) The State Commission shall have administrative control over all the District Commissions within the State.

Section 71. Enforcement of orders of District Commission, State Commission and National Commission.

Where a trader or a service provider, as the case may be, fails to comply with the order of the District Commission, the State Commission or the National Commission, such Commission may direct the opposite party to execute a bond with or without surety for such sum of money as may be specified in the order and such complainant may apply to the concerned District Commission, or State Commission or the National Commission, as the case may be, to proceed against such opposite party and such Commission may order the attachment and sale of any property of the opposite party who failed to comply with its order for the purpose of realising the amount from the sale proceeds thereof for payment to the complainant.

Section 72. Penalty for non-compliance of order.

Where any trader or a service provider, or as the case may be, the complainant fails to comply with an order referred to in sub-section (1) or section 39 or section 47 or section 58, then, without prejudice to any other action that may be taken under any other provisions of this Act, the District Commission or the State Commission or the National Commission, as the case may be, may direct to impose a punishment of imprisonment which shall not be less than **one month** but which may extend to **three years**, or with fine which shall not be less than **twenty-five thousand rupees** but which may extend to **one lakh rupees**, or with both:

Provided that the Commission shall give an opportunity of being heard to the trader or the service provider, or the complainant, as the case may be, before imposing any punishment under this section.

Section 73. Appeal against order passed under section 72.

Any person against whom an order is made under section 72 may prefer an appeal against such order to the State Commission or the National Commission, as the case may be, within a period of **thirty days** from the date of such order.

APPEAL TIMELINE TABLE

From	To	Time Limit	Deposit Required
District Commission	State Commission	45 days	50% of awarded amount
State Commission	National Commission	30 days	50% of awarded amount
National Commission	Supreme Court	30 days	50% of awarded amount
Penalty Order (Section 72)	State/National Commission	30 days	As specified

CHAPTER V

MEDIATION

Section 74. Establishment of consumer mediation cell.

Every District Commission, State Commission and National Commission shall, by regulations, establish one or more consumer mediation cells to be attached to each Commission, to mediate a consumer dispute, as may be referred to it by the concerned Commission.

Section 75. Empanelment of mediators.

Every District Commission, State Commission or National Commission shall, by regulations, maintain a panel of such number of persons possessing such qualifications as may be specified by regulations to be called as mediators.

Section 76. Nomination of mediators from panel.

- (1) Where the complaint is referred under section 37 for settlement by mediation, the President of the District Commission or the State Commission or the National Commission, as the case may be, shall nominate any of the mediators from the panel maintained under section 75.
- (2) For the purposes of settlement by mediation, the mediator shall proceed with the mediation in such manner as may be prescribed.
-

Section 77. Duty of mediator to disclose certain facts.

- (1) Before the mediator accepts the reference, he shall disclose to the parties to the dispute the existence of any past or present relationship with, or interest in any of the parties and any other circumstances which are likely to affect his independence and impartiality and shall continue to make such disclosure even after accepting the reference, if such circumstances arise later at any stage of the mediation.
- (2) Where a mediator makes a disclosure under sub-section (1), the parties to the dispute shall intimate within **seven days** of the date of disclosure, if they have any objection to such mediator conducting mediation proceedings.
- (3) Where, after such disclosure, the parties raise no objection, it shall be deemed that the mediator's disclosure has been duly considered and no objection exists to such mediator conducting mediation proceedings.
- (4) Where any of the parties raises an objection after such disclosure, a fresh mediator shall be nominated in accordance with section 76.
-

Section 78. Replacement of mediator in certain cases.

Where the mediator, after accepting a reference,-

- (a) is unable or fails to conduct the mediation proceedings; or
-

(b) resigns from his office, a fresh mediator shall be nominated in accordance with section 76.

Section 79. Procedure for mediation.

The mediator shall follow such procedure as may be prescribed for mediation.

Section 80. Settlement through mediation.

(1) Where a settlement is arrived at between the parties as a result of proceedings before the mediator, the mediator shall prepare a report of settlement and forward the same to the concerned Commission.

(2) Where the mediator is of the opinion that there is no possibility of settlement, he shall prepare a report of failure of settlement and forward the same to the concerned Commission.

(3) In either case, under sub-sections (1) and (2), the mediator shall forward a report along with the original complaint to the concerned Commission within a period of **fifty days** from the date of receipt of the complaint.

Section 81. Recording settlement and passing of order.

(1) Where a settlement has been arrived at under section 80, the concerned Commission shall pass an order and dispose of the complaint in terms of the settlement, within **seven days** of the date of receipt of the report referred to in sub-section (1) of section 80.

(2) An order passed under sub-section (1) shall be deemed to be an order passed by the concerned Commission and enforceable as such.

(3) Where the mediator reports to the Commission that there is no possibility of settlement between the parties, the Commission shall proceed to hear the complaint.

MEDIATION TIMELINE TABLE

Stage	Time Limit	Responsible Party
Objection to mediator after disclosure	7 days	Parties to dispute
Mediator to submit report	50 days from receipt	Mediator
Commission to pass order on settlement	7 days from report	Commission

CHAPTER VI

PRODUCT LIABILITY

Section 82. Application of Chapter.

The provisions of this Chapter shall be in addition to and not in derogation of the provisions of any other law for the time being in force.

Section 83. Product liability action.

(1) A product liability action may be brought by any person who has suffered harm, referred to in clause (22) of section 2.

(2) A product liability action may be brought against the product manufacturer, product service provider or product seller, as the case may be, for any harm caused to any consumer by such defective product manufactured or sold or by deficiency in services, relating to the product.

Section 84. Liability of product manufacturer.

A product manufacturer shall be liable in a product liability action if-

- (a) the product contains a manufacturing defect; or
 - (b) the product is defective in design; or
 - (c) there is a deviation from manufacturing specifications; or
 - (d) the product does not conform to the express warranty; or
 - (e) the product fails to contain adequate instructions of correct usage to prevent any harm to the consumer or any warning regarding improper or incorrect usage.
-

Section 85. Liability of product service provider.

A product service provider shall be liable in a product liability action if-

- (a) the service provider provided services relating to the product which deviated from the manufacturing specifications; or
 - (b) the service provider failed to exercise reasonable care and skill, while providing services related to the product; or
 - (c) the service provider failed to comply with express warranties as to the service provided.
-

Section 86. Liability of product sellers.

(1) A product seller shall be liable in a product liability action, if-

- (a) the product seller has exercised substantial control over the design, testing, manufacture, packaging or labelling of the product that caused harm; or
-

(b) the product seller has altered or modified the product and such alteration or modification was the substantial cause of harm; or

(c) the product seller has made an express warranty of the product, independent of any express warranty made by a product manufacturer and such product failed to conform to the express warranty made by the product seller causing the harm; or

(d) the product seller has failed to exercise reasonable care in assembling, inspecting or maintaining the product and such failure was the proximate cause of the harm; or

(e) the product was sold by a person, or commercial establishment, and the harm was caused by such product and such person or commercial establishment failed to identify or disclose the identity of the product manufacturer within **one month** from the date on which such information was sought from him or such commercial establishment, as the case may be.

(2) Notwithstanding anything contained in sub-section (1), the product seller shall not be liable if-

(a) the product was sold by him under a registered trade mark or brand name registered to another person and the product seller is not otherwise liable in accordance with clause (a) or clause (b) or clause (c) or clause (d) of sub-section (1); or

(b) the product seller is able to identify in his records the product manufacturer of such product; or

(c) the product seller identifies the person from whom he purchased or otherwise received such product and such person was reasonably believed by the product seller to be authorised to supply or sell such product.

Section 87. Exceptions to product liability action.

Product liability action shall not be maintainable where the harm is caused to a consumer due to-

(a) misuse, modification or alteration of the product; or

(b) failure to follow instructions supplied with the product; or

(c) compliance by the product manufacturer or product seller with mandatory instructions issued by or under any law for the time being in force.

PRODUCT LIABILITY SUMMARY TABLE

Liabe Party	Basis of Liability	Key Criteria
Product Manufacturer	Manufacturing defect, design defect, deviation from specs, breach of warranty, inadequate instructions	Defective product manufactured or sold
Product Service Provider	Deviation from specs, failure of reasonable care, breach of warranty	Services related to product deficient
Product Seller	Substantial control over design/manufacture, alteration, express warranty breach, failure of reasonable care, failure to identify manufacturer	Failed to disclose manufacturer identity within 1 month

Exceptions: Misuse, modification, failure to follow instructions, compliance with mandatory law

CHAPTER VII

OFFENCES AND PENALTIES

Section 88. Penalty for non-compliance of direction of Central Authority.

Any person who fails to comply with the direction of the Central Authority under section 20, shall be punishable with imprisonment for a period which may extend to **six months** or with fine which may extend to **twenty lakh rupees**, or with both.

Section 89. Punishment for false or misleading advertisement.

Whoever manufactures, sells or stores for sale, or imports any product which causes injury to any consumer due to false or misleading advertisement, shall be punishable with imprisonment for a term which may extend to **two years** and with fine which may extend to **ten lakh rupees**:

Provided that for every subsequent offence, be punishable with imprisonment for a term which may extend to **five years** and with fine which may extend to **fifty lakh rupees**.

 **PROPOSED AMENDMENT (2023 - NOT YET ENACTED):** The Consumer Protection (Amendment) Bill, 2023 proposes to substitute Section 89 to read: "Any manufacturer, service provider, advertiser, advertising agency or endorser who causes a false misleading or surrogate advertisement to be made that is prejudicial to the interest of consumers shall be punished with imprisonment for a term which may extend to **2 years** and with a fine which may extend to **10 lakh rupees**; and for every subsequent offence, be punished with imprisonment for a term which may extend to **5 years** and with fine which may extend to **50 lakh rupees**." This Bill has NOT been passed into law as of January 2025.

Section 90. Punishment for manufacturing for sale or storing, selling or distributing or importing products containing adulterant.

Whoever manufactures for sale or stores or sells or distributes or imports any product containing adulterant which causes injury to any consumer shall be punishable with imprisonment for a term which may extend to **six months** or with fine which may extend to **one lakh rupees**, or with both:

Provided that if such offence is committed by the same person more than once, then, he shall be punishable with imprisonment for a term which may extend to **one year**, or with fine which may extend to **three lakh rupees**, or with both:

Provided further that where any product containing such adulterant causes death of a consumer, the product manufacturer shall be punishable with imprisonment for a term which shall not be less than **seven years** but which may extend to **imprisonment for life** and with fine which shall not be less than **ten lakh rupees**.

Section 91. Punishment for manufacturing for sale or for storing or selling or distributing or importing spurious goods.

Whoever, by himself or by any other person on his behalf, manufactures for sale or stores or sells or distributes or imports any spurious goods shall be punished, if such act,

- (a) **Causing injury not amounting to grievous hurt** to the consumer, with imprisonment for a term which may extend to **one year** and with fine which may extend to **three lakh rupees**;
 - (b) **Causing injury resulting in grievous hurt** to the consumer, with imprisonment for a term which may extend to **seven years** and with fine which may extend to **five lakh rupees**;
 - (c) **Results in the death of a consumer**, with imprisonment for a term which shall **not be less than seven years**, but may extend to imprisonment for **life** and with fine which shall **not be less than ten lakh rupees**.
-

Section 92. Cognizance of offence by court.

No prosecution for an offence under section 90 or section 91 shall be instituted except by, or with the written consent of, the Central Authority.

Section 93. Vexatious search.

If any officer of the Central Authority or any person acting under the authority of the Central Authority or the Commissioner of a regional office-

- (a) without reasonable ground of suspicion, harasses any person; or
 - (b) vexatiously and unnecessarily detains, searches or arrests any person; or
 - (c) vexatiously and unnecessarily searches any building, place, vessel, vehicle or aircraft; or
 - (d) abuses his powers, he shall, for every such offence, be punishable with imprisonment for a term which may extend to **six months**, or with fine which may extend to **twenty-five thousand rupees**, or with both.
-

OFFENCES & PENALTIES TABLE

Part 1: Procedural Offences (Based on Repetition)

Section	Offence	First Offence	Subsequent Offence
S.88	Non-compliance with Central Authority	6 months OR ₹20 Lakh OR both	-
S.89	False/Misleading Advertisement	2 years AND ₹10 Lakh	5 years AND ₹50 Lakh
S.93	Vexatious Search	1 year OR ₹10,000 OR both	-

Part 2: Product Offences (Based on Injury Severity)

(For Sections 90 & 91, the penalty depends on the harm caused)

Severity of Harm	S.90 (Adulterant)	S.91 (Spurious Goods)
No Injury	6 months AND ₹1 Lakh	(Not explicitly listed in S.91)
Non-Grievous Injury	1 year AND ₹3 Lakh	1 year AND ₹3 Lakh
Grievous Hurt	7 years AND ₹5 Lakh	7 years AND ₹5 Lakh
Death	Min 7 years - Life AND Min ₹10 Lakh	Min 7 years - Life AND Min ₹10 Lakh

CHAPTER VIII

MISCELLANEOUS

Section 94. Measures to prevent unfair trade practices in e-commerce, direct selling, etc.

The Central Government may prescribe rules to prevent unfair trade practices in e-commerce, direct selling and to protect interest of consumers.

Section 95. Presidents, members, Chief Commissioner, Commissioner and certain officers to be public servants.

The President and every member of a National Commission or a State Commission or a District Commission, the Chief Commissioner, every Commissioner and every officer of the Central Authority shall be deemed to be a public servant within the meaning of section 21 of the Indian Penal Code (45 of 1860).

Section 96. Compounding of offences.

(1) The National Commission may, either before or after the institution of the proceedings, compound offences under section 90 or section 91 on payment of such sum, as it may direct, to a consumer welfare fund or any other appropriate authority:

Provided that the National Commission shall not compound such offence where the offence is one for which, a minimum term of imprisonment has been prescribed:

Provided further that the sum so directed shall not, in any case, exceed the maximum amount of the fine which may be imposed under this Act for the offence so compounded.

(2) Nothing in sub-section (1) shall apply to a person who commits the same or similar offence within a period of **three years** from the date on which the first offence, committed by him, was compounded.

(3) Where any offence is compounded under sub-section (1), no proceeding or further proceeding, as the case may be, shall be taken against the person accused of such offence.

Section 97. Manner of crediting penalty.

(1) All sums realised by way of penalties under this Act shall be credited to the Consumer Welfare Fund established by the Central Government or, as the case may be, State Government under section 101 of the Consumer Protection Act, 1986 **(68 of 1986)**.

(2) The Central Government may prescribe the manner in which the Consumer Welfare Fund shall be utilised.

Section 98. Protection of action taken in good faith.

No suit, prosecution or other legal proceeding shall lie against the Central Government, the State Government, the Central Authority, the National Commission, a State Commission or a District Commission or any officer or other employee of the Central Government, the State Government, the Central Authority, the National Commission, State Commission or the District Commission or any other person authorised by such Government or Commission, for anything which is in good faith done or intended to be done under this Act or the rules or regulations made thereunder.

Section 99. Power to give directions by Central Government.

(1) The Central Government may, from time to time, give such directions as it may consider necessary to the Central Authority, the National Commission or the State Commission for the effective administration of this Act.

(2) The Central Government may, by notification, supersede any State Commission, if-

(a) the State Commission is unable to discharge the functions or perform the duties imposed on it by or under the provisions of this Act; or

(b) the State Commission has persistently defaulted in complying with any direction given by the Central Government under this Act or in the discharge of the functions or performance of the duties imposed on it by or under the provisions of this Act and as a result of such default the financial position of the State Commission or the administration of the State Commission has deteriorated; or

(c) circumstances exist which render it necessary in the public interest so to do:

Provided that in the case of supersession under clause (c), it shall be necessary for the Central Government to consult the State Government before issuing such notification.

Section 100. Act not in derogation of any other law.

The provisions of this Act shall be in addition to and not in derogation of the provisions of any other law for the time being in force.

Section 101. Power of Central Government to make rules.

(1) The Central Government may, by notification, make rules for carrying out the provisions of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely: —

(a) the other official and non-official members representing such interests as may be prescribed under clause (b) of sub-section (2) of section 3;

(b) the allowances and fees for attending the meetings of the Central Council and the procedure for conducting the business of the Central Council under sub-sections (2) and (3) of section 4;

(c) the qualifications for appointment, method of recruitment, procedure for appointment, term of office, salaries and allowances, resignation, removal and other

terms and conditions of the service of the Chief Commissioner and Commissioners of the Central Authority under section 11;

(d) the salaries and allowances and other terms and conditions of service of the officers and other employees of the Central Authority under sub-section (2) of section 13;

(e) the form, manner and time of preparation of annual report and such other reports and returns to be forwarded to the Central Government under sub-section (1) of section 27;

(f) the qualifications, method of recruitment, procedure for appointment, term of office, resignation and removal of the President and members of the District Commission under section 29;

(g) the qualifications for appointment, method of recruitment, procedure of appointment, term of office, resignation and removal of the President and members of the State Commission under section 43;

(h) the qualifications, appointment, term of office, salaries and allowances, resignation, removal and other terms and conditions of service of the President and members of the National Commission under section 55;

(i) the salaries and allowances and other terms and conditions of service of the officers and other employees of the National Commission under sub-section (3) of section 57;

(j) the other matters under clause (f) of sub-section (9) of section 38;

(k) the form and manner in which an appeal against the order of District Commission may be preferred under section 41;

(l) the deposit of amount for entertaining the appeal by the State Commission under the second proviso to section 41;

(m) the form and manner in which an appeal against the order of State Commission may be preferred under sub-section (1) of section 51;

(n) the deposit of amount for entertaining the appeal by the National Commission under the second proviso to sub-section (1) of section 51;

(o) the deposit of amount for entertaining the appeal by the Supreme Court under the second proviso to section 67;

(p) the procedure to be followed by the mediator under sub-section (2) of section 76;

(q) the procedure for mediation under section 79;

(r) the manner in which the Consumer Welfare Fund shall be utilised under sub-section (2) of section 97;

(s) any other matter which is to be, or may be, prescribed, or in respect of which provision is to be made, by rules.

(3) Every rule made by the Central Government under this Act shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session, for a total period of **thirty days** which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule.

Section 102. Power of State Government to make rules.

(1) The State Government may, by notification, make rules for carrying out the provisions of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:-

(a) the number of other official or non-official members representing such interests under clause (b) of sub-section (2) of section 6;

(b) the time and place of meeting of the State Council and the procedure for conducting the business of the State Council under sub-section (4) of section 6;

- (c) the number of other official and non-official members representing such interests under clause (b) of sub-section (2) of section 8;
- (d) the time and place of meeting of the District Council and the procedure for conducting the business of the District Council under sub-section (4) of section 8;
- (e) the salaries and allowances and other terms and conditions of service of the President and members of the District Commission under section 30;
- (f) the salaries and allowances payable to, and the other terms and conditions of service of the officers and other employees of the District Commission under sub-section (3) of section 33;
- (g) the salaries and allowances and other terms and conditions of service of the President and members of the State Commission under section 44;
- (h) the salaries and allowances payable to, and the other terms and conditions of service of the officers and other employees of the State Commission under sub-section (3) of section 46;
- (i) any other matter which is to be, or may be, prescribed, or in respect of which provision is to be made, by the State Government.
- (3) Every rule made under this section shall be laid, as soon as may be after it is made, before each House of the State Legislature where it consists of two Houses, or where such Legislature consists of one House, before that House.

Section 103. Power of National Commission to make regulations.

- (1) The National Commission may, by notification, make regulations consistent with this Act and the rules made thereunder, to carry out the purposes of this Act.
- (2) In particular, and without prejudice to the generality of the foregoing power, such regulations may provide for all or any of the following matters, namely:-

- (a) the procedure for transaction of business and allocation of business amongst the Chief Commissioner and Commissioners under sub-section (1) of section 14;
 - (b) the form and manner and time of submission of inquiries or investigation reports by the Director-General to the Central Authority under sub-section (5) of section 15;
 - (c) the establishment of one or more consumer mediation cells under section 74;
 - (d) the qualifications and the number of persons to be maintained in the panel of mediators under section 75;
 - (e) the costs occasioned by adjournment under the second proviso to sub-section (7) of section 38;
 - (f) the costs occasioned by adjournment under the second proviso to section 52;
 - (g) any other matter which is required to be, or may be, specified by regulations or in respect of which provision is to be made by regulations.
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Section 104. Power of Central Authority to make regulations.

- (1) The Central Authority may, by notification, make regulations consistent with this Act and the rules made thereunder, to carry out the purposes of this Act.
 - (2) In particular, and without prejudice to the generality of the foregoing power, such regulations may provide for all or any of the following matters, namely:-
 - (a) the procedure for engagement of experts and professionals under sub-section (3) of section 13;
 - (b) the procedure for transaction of business and allocation of business amongst the Chief Commissioner and Commissioners under sub-section (1) of section 14;
 - (c) any other matter which is required to be, or may be, specified by regulations or in respect of which provision is to be made by regulations.
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Section 105. Rules and regulations to be laid before each House of Parliament.

Every rule and every regulation made under this Act shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session, for a total period of **thirty days** which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or regulation or both Houses agree that the rule or regulation should not be made, the rule or regulation shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule or regulation.

Section 106. Power to Remove Difficulties.

(1) If any difficulty arises in giving effect to the provisions of this Act, the Central Government may, by order, published in the Official Gazette, make such provisions not inconsistent with the provisions of this Act as may appear to it to be necessary for removing the difficulty:

Provided that no order shall be made under this section after the expiry of **two years** from the commencement of this Act.

(2) Every order made under this section shall be laid, as soon as may be after it is made, before each House of Parliament.

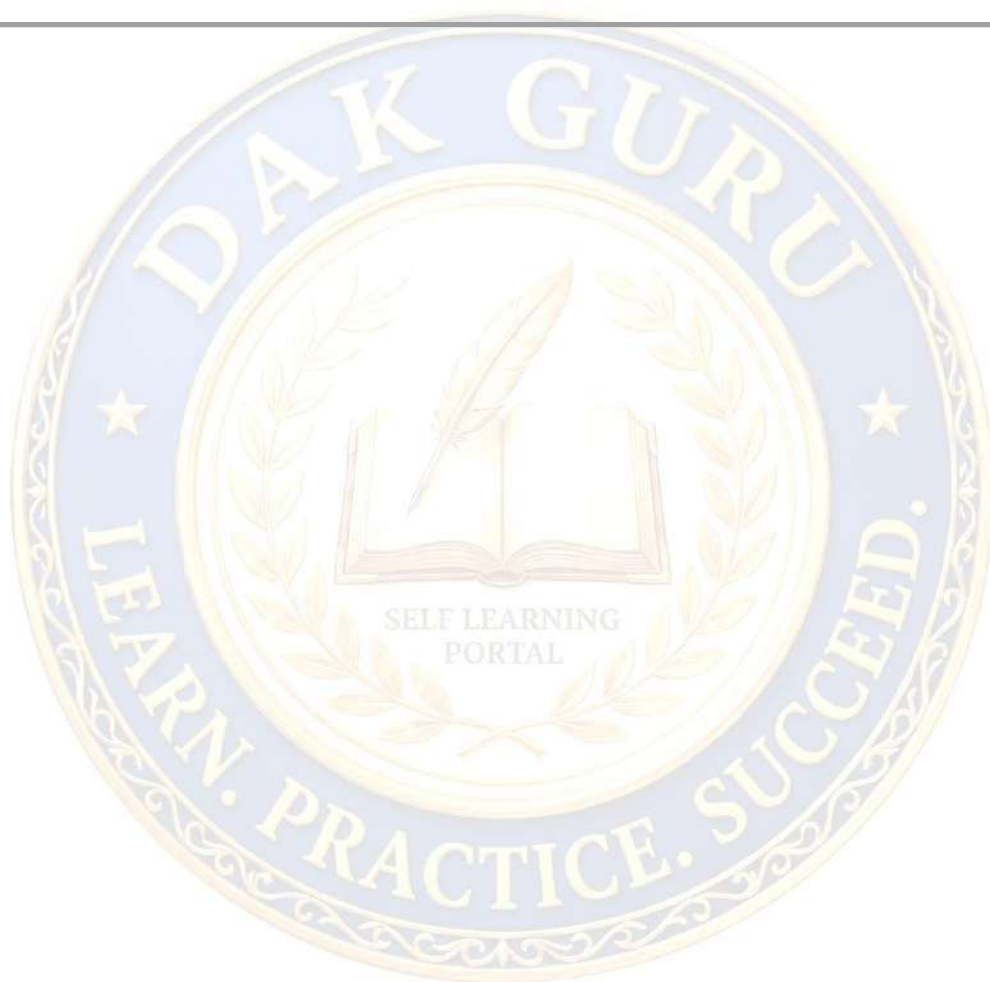
Section 107. Repeal and savings.

(1) The Consumer Protection Act, 1986 (**68 of 1986**) (hereinafter in this section referred to as the said Act) is hereby repealed.

(2) Notwithstanding such repeal, —

(a) anything done or any action taken or purported to have been done or taken under the said Act shall, insofar as it is not inconsistent with the provisions of this Act, be deemed to have been done or taken under the corresponding provision of this Act;

(b) any complaint pending before any National Commission, State Commission or District Commission immediately before such commencement, may be continued before such Commission, as if the said Act has not been repealed.



REVISION & IMPORTANT KEY POINTS :-**1. FINAL COMPARISON TABLE: OLD vs NEW ACT**

Aspect	Consumer Protection Act, 1986	Consumer Protection Act, 2019
Central Authority	Not present	Central Consumer Protection Authority established
E-commerce	Not specifically covered	Specifically covered (Sections 2(16), 2(25), 94)
Product Liability	Not present	Dedicated Chapter VI (Sections 82-87)
Mediation	Not present	Dedicated Chapter V (Sections 74-81)
Pecuniary Jurisdiction	District: ₹20 lakh ; State: ₹20 lakh - ₹1 crore ; National: Above ₹1 crore	District: ₹1 crore ; State: ₹1 crore - ₹10 crore ; National: Above ₹10 crore
Limitation Period	2 years	2 years (retained)
False Advertisement	No specific provision	Penalties: ₹10 lakh (first), ₹50 lakh (subsequent)
Unfair Contracts	Not specifically covered	Section 2(46) - Defined and actionable

2. The 6 Consumer Rights (Mnemonic: S.I.C.H.R.E)

1. Safety (Right to be protected against hazardous goods).
2. Informed (Right to be informed about quality, quantity, purity, price).
3. Choose (Right to access variety at competitive prices).
4. Heard (Right to be heard at appropriate forums).
5. Redressal (Right to seek redressal against unfair trade practices).
6. Education (Right to consumer awareness).

3. Penalties Cheat Sheet (Offenses)

High-yield section for objective questions.

Offense	Penalty / Imprisonment
Misleading Advertisement (by Manufacturer/Endorser)	Penalty: Up to ₹10 Lakhs (1st offense) Up to ₹50 Lakhs (Subsequent) Ban on Endorser: Up to 1 year (1st), 3 years (Subsequent)
Adulterated/Spurious Goods (No Injury)	Prison up to 6 months + Fine up to ₹1 Lakh
Adulterated/Spurious Goods (Non-Grievous Injury)	Prison up to 1 year + Fine up to ₹3 Lakhs

Adulterated/Spurious Goods (Grievous Hurt)	Prison up to 7 years + Fine up to ₹5 Lakhs
Adulterated/Spurious Goods (Death)	Prison 7 years to Life + Fine min ₹10 Lakhs

4. "Hidden" Key Points (The 1% Details)

These are often missed but carry high marks/importance.

- **Definition of Consumer:** Includes those who buy offline **AND** online (teleshopping, multi-level marketing, direct selling).
 - *Excludes:* Anyone buying for **commercial purpose** or **resale**.
- **Unfair Contract:** A new concept where terms are significantly one-sided (e.g., excessive security deposits, refusal to accept early repayment). Only **State** and **National** Commissions can handle "Unfair Contract" complaints (District cannot).
- **Product Liability:** You can now sue the **Platform/Seller** (e.g., Amazon/Flipkart) and not just the Manufacturer if they exercised control over the product's design/modification.
- **CCPA Powers:** The Central Consumer Protection Authority has an **Investigative Wing** (headed by a Director General) and can take *Suo Motu* (on its own) action, recall products, and order refunds.
- **Limitation Period:** A complaint must be filed within **2 years** from the date of cause of action.

Here is the "Dark Patterns" Cheat Sheet.

Since this is a high-probability topic for current exams (given the 2023 Guidelines), treat this as a standalone add-on to your Consumer Protection Act notes.

Cheat Sheet: Dark Patterns (The "Hidden" Traps)

Legal Source:

- NOT in the original 2019 Act text.
- **Added via:** *Guidelines for Prevention and Regulation of Dark Patterns, 2023* (Issued by CCPA under **Section 18** of CPA, 2019).
- **Legal Status:** Engaging in these is now officially an "**Unfair Trade Practice**."²

The One-Liner Definition:

"Deceptive design patterns in UI/UX (websites/apps) designed to mislead or trick users into doing something they did not intend to do."

The "Dirty Dozen" (13 Prohibited Types)

Examiners love asking for examples of these. Memorize the keywords.

Pattern Name	The Trick (Plain English)	Classic Example
1. False Urgency	Faking scarcity/time pressure.	"Only 2 rooms left!" or "Offer ends in 05:00 minutes" (when it actually doesn't).
2. Basket Sneaking	Adding extra items without consent.	Travel insurance or a "donation" is pre-added to your cart automatically.
3. Confirm Shaming	Guilt-tripping you for saying no.	"No thanks, I hate saving money" or "No, I don't care about my health."
4. Forced Action	Forcing an unrelated action to proceed.	"Subscribe to our newsletter to view this news article."

5. Subscription Trap	Easy to sign up, impossible to leave.	Sign up is one click; Cancellation requires calling a number or emailing support.
6. Interface Interference	Hiding/manipulating buttons.	The 'X' (close) button is invisible/tiny, or the "No" button is greyed out.
7. Bait and Switch	Advertising one thing, delivering another.	Ad shows a high-quality dress; you get a cheap knockoff (or item is "out of stock" after clicking).
8. Drip Pricing	Hiding the real cost until the end.	Price shows ₹500, but checkout adds "service fee + handling fee" = ₹900.
9. Disguised Advertisement	Ads that look like content.	An influencer review or news article that is actually a paid ad (without a "Sponsored" tag).
10. Nagging	Constant, annoying requests.	Apps asking "Rate Us?" or "Turn on Notifications" every time you open them.
11. Trick Question	Confusing wording.	"Do you not want to opt-out of emails?" (Double negatives to confuse you).
12. SaaS Billing	Silent recurring charges.	Converting a free trial to a paid subscription without notifying you.
13. Rogue Malwares	Fake virus warnings.	"Your computer is infected! Click here to clean" (tricks you into downloading malware).

Key Exam Distinction :-

- **Question:** "Are Dark Patterns mentioned in the Consumer Protection Act, 2019?"
- **Answer:** No, not directly. They are defined in the **2023 Guidelines** issued *under* the Act. However, they are punished *as* **Unfair Trade Practices** defined in the Act.

-----THE END OF THE NOTES-----

PART A: Chapter I - Preliminary (Sections 1-2)

1. The Consumer Protection Act, 2019 extends to:

- | | |
|---|--|
| (a) The whole of India except Jammu and Kashmir | (c) The whole of India except North-Eastern States |
| (b) The whole of India | (d) Only Union Territories |

2. According to Section 2(1), "Advertisement" includes which of the following forms?

- | | |
|---------------------------------|--|
| (a) Audio or visual publicity | (c) Representation made via electronic media |
| (b) Circular, label, or wrapper | (d) All of the above |

3. Which of the following is NOT included in the definition of an "Appropriate Laboratory"?

- | | |
|--|---|
| (a) A laboratory established by the Central Government | (c) A private laboratory unrecognized by any law |
| (b) A laboratory established by the State Government | (d) A laboratory recognized by the Central Government |

4. Under Section 2(5), who among the following is a "Complainant"?

- | | |
|---------------------------|--|
| (a) A consumer | (c) In case of a minor, his parent or legal guardian |
| (b) The Central Authority | (d) All of the above |

5. A "Complaint" under the Act must be in which format?

- | | |
|--------------------------|-----------------------------|
| (a) Oral allegation only | (c) Telephonic conversation |
| (b) Written allegation | (d) None of the above |

6. Which of the following categories is EXCLUDED from the definition of "Consumer"?

- (a) A person buying goods for self-consumption
- (b) A person availing services for personal use
- (c) A person obtaining goods for resale or commercial purpose
- (d) A person buying goods through electronic means

7. Does the definition of "Consumer" include a person who avails services for "commercial purposes" if it is for earning livelihood by self-employment?

- (a) No, never
- (b) Yes, specifically included
- (c) Only if approved by the District Collector
- (d) Only if the value is less than 1 Lakh

8. How many "Consumer Rights" are officially defined under Section 2(9)?

- (a) 4
- (b) 5
- (c) 6
- (d) 8

9. Which of the following is NOT a Consumer Right under the 2019 Act?

- (a) Right to Safety
- (b) Right to Consumer Awareness
- (c) Right to Discounted Prices
- (d) Right to be Heard

10. "Defect" refers to any fault, imperfection, or shortcoming in the _____ of goods.

- (a) Quality
- (b) Quantity
- (c) Potency or Purity
- (d) All of the above

11. Section 2(11) defines "Deficiency" in relation to:

- (a) Goods
- (b) Services
- (c) Advertisements
- (d) Labels

12. **"Direct Selling"** means marketing, distribution, and sale of goods or providing of services:
- (a) Through a permanent retail location
 - (b) Through a network of sellers other than a permanent retail location
 - (c) Only via television
 - (d) Only via government auctions
13. **Buying or selling of goods or services including digital products over digital or electronic network is defined as:**
- (a) Tele-marketing
 - (b) E-commerce
 - (c) Direct Selling
 - (d) Retail Trading
14. **An "Electronic Service Provider" is a person who provides:**
- (a) Technologies to enable product sellers to engage in advertising or selling
 - (b) Only internet connection
 - (c) Only computer hardware
 - (d) Warehousing facilities physically
15. **"Endorsement" in relation to an advertisement generally depicts the _____ of the endorser.**
- (a) Financial status
 - (b) Opinion, finding, or experience
 - (c) Criminal record
 - (d) Educational qualification
16. **Under Section 2(21), "Goods" means every kind of _____ property.**
- (a) Immovable
 - (b) Movable
 - (c) Intellectual
 - (d) Real Estate
17. **Which Act provides the definition of "Goods" adopted by the Consumer Protection Act, 2019?**
- (a) The Indian Contract Act, 1872
 - (b) The Sale of Goods Act, 1930
 - (c) The Companies Act, 2013
 - (d) The Competition Act, 2002

18. According to Section 2(22), "Harm" includes:

- (a) Injury to body
- (b) Mental agony or emotional distress
- (c) Damage to property
- (d) All of the above

19. Does "Harm" include mere economic loss or purely commercial loss?

- (a) Yes, always
- (b) No, it is explicitly excluded
- (c) Yes, if it exceeds 10 Lakhs
- (d) Yes, if the Commission permits

20. A "Manufacturer" includes a person who:

- (a) Makes goods
- (b) Assembles parts made by others
- (c) Puts his own mark on goods made by others
- (d) All of the above

21. The term "Person" under the Act includes:

- (a) An individual only
- (b) A Hindu Undivided Family (HUF)
- (c) A Co-operative Society
- (d) All including HUF, Co-operative Society, and Corporations

22. "Product Seller" does NOT include:

- (a) A person who sells goods
- (b) A lessor of goods
- (c) A person acting only in a professional capacity (e.g., financial advice)
- (d) A packer of goods

23. "Spurious Goods" means goods which are:

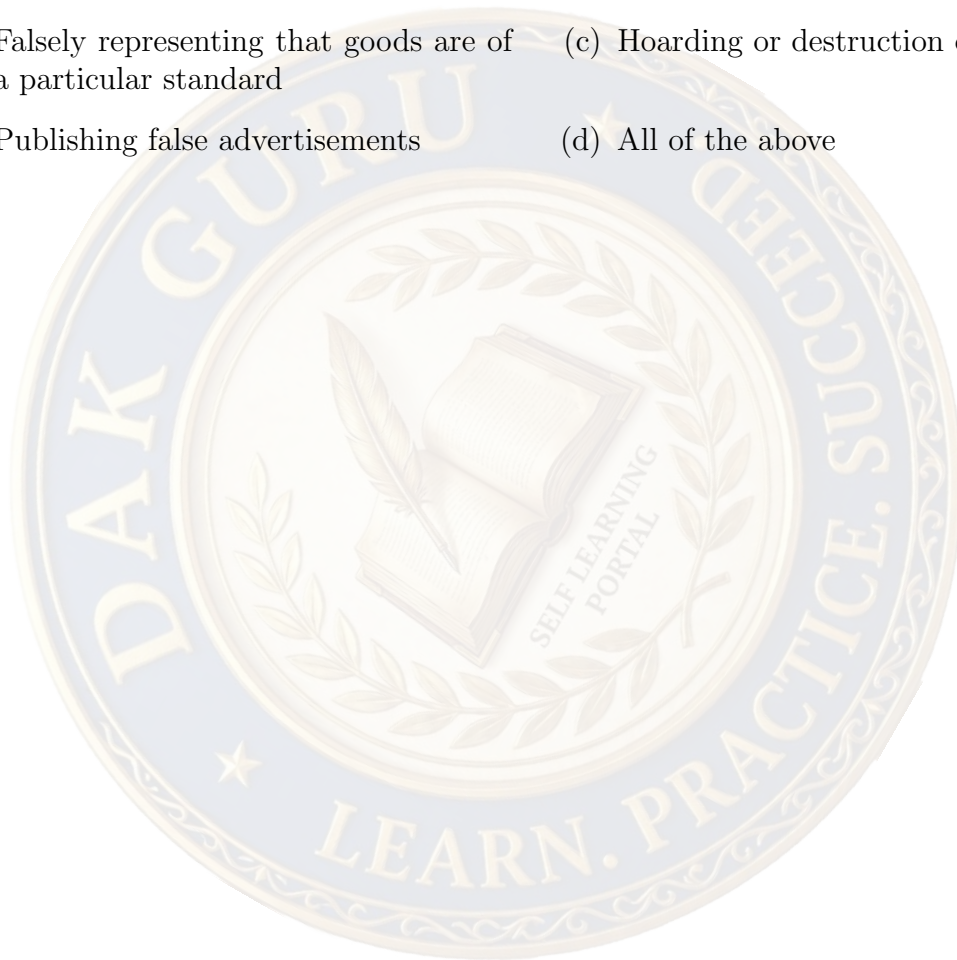
- (a) Imported
- (b) Falsely claimed to be genuine
- (c) Second-hand
- (d) Expired

24. "Unfair Contract" covers contracts between a manufacturer/trader and a consumer that possess which characteristic?

- (a) Significantly change the rights of the consumer
- (b) Impose unreasonable charge or obligation
- (c) Impose excessive penalty for breach
- (d) All of the above

25. Which of the following constitutes an "Unfair Trade Practice"?

- (a) Falsely representing that goods are of a particular standard
- (b) Publishing false advertisements
- (c) Hoarding or destruction of goods
- (d) All of the above



ANSWER KEY - Chapter I: Preliminary

Q.No	Answer	Q.No	Answer
1	(b)	14	(a)
2	(d)	15	(b)
3	(c)	16	(b)
4	(d)	17	(b)
5	(b)	18	(b)
6	(c)	19	(b)
7	(b)	20	(d)
8	(c)	21	(d)
9	(c)	22	(d)
10	(d)	23	(b)
11	(b)	24	(d)
12	(b)	25	(d)
13	(b)		

PART B : Chapter II - Consumer Protection Councils (Sections 3-9)

26. Which authority is responsible for establishing the Central Consumer Protection Council?
- (a) The Supreme Court (c) The National Commission
(b) The Central Government (d) The President of India
27. Under Section 3(2)(a), who acts as the Chairperson of the Central Consumer Protection Council?
- (a) The Prime Minister Affairs in the Central Government
(b) The Chief Justice of India (d) The Secretary, Department of Consumer Affairs
(c) The Minister-in-charge of Consumer
28. The Central Consumer Protection Council is purely an _____ body.
- (a) Adjudicatory (c) Investigating
(b) Advisory (d) Regulatory
29. According to Section 4, the Central Council shall meet at least _____ every year.
- (a) Once (c) Thrice
(b) Twice (d) Four times
30. Which Section of the Consumer Protection Act, 2019 deals with the "Objects of the Central Council"?
- (a) Section 3 (c) Section 5
(b) Section 4 (d) Section 6
31. The primary object of the Central Council is to render advice on:
- (a) Punishment of offenders (c) Collection of fines
(b) Promotion and protection of consumers' rights (d) appointment of judges

32. Who establishes the State Consumer Protection Council?

- | | |
|----------------------------|--------------------------|
| (a) The Central Government | (c) The Governor |
| (b) The State Government | (d) The State High Court |

33. Who is the Chairperson of the State Consumer Protection Council?

- | | |
|--|--------------------------------------|
| (a) The Chief Minister | (c) The Chief Secretary of the State |
| (b) The Minister-in-charge of Consumer Affairs in the State Government | (d) The Governor |

34. Under Section 6(2), members of the State Council are appointed to represent interests of:

- | | |
|------------------------|---|
| (a) Political parties | (c) Such interests as may be prescribed |
| (b) The Judiciary only | (d) Only corporate houses |

35. According to Section 7, the State Council shall meet at least _____ every year.

- | | |
|-----------|----------------|
| (a) Once | (c) Thrice |
| (b) Twice | (d) Four times |

36. Who decides the time and place of the meetings of the State Council?

- | | |
|--|----------------------------|
| (a) The Central Government | (c) The District Collector |
| (b) The Chairperson of the State Council | (d) The High Court |

37. Who establishes the District Consumer Protection Council?

- | | |
|----------------------------|-----------------------------|
| (a) The Central Government | (c) The District Magistrate |
| (b) The State Government | (d) The Zila Parishad |

38. Who is the Chairperson of the District Consumer Protection Council?

- (a) The District Judge
- (b) The Collector of the District
- (c) The Member of Parliament of that area
- (d) The Mayor

39. The District Consumer Protection Council is constituted under which Section?

- (a) Section 6
- (b) Section 7
- (c) Section 8
- (d) Section 9

40. The District Council shall meet at least _____ every year.

- (a) Once
- (b) Twice
- (c) Thrice
- (d) Four times

41. The procedure for meetings of the Central Council is prescribed by:

- (a) The Central Government
- (b) The State Governments
- (c) The Supreme Court
- (d) The Council Members themselves

42. Can the State Council meet more than the minimum mandatory number of times prescribed in the Act?

- (a) No, strictly forbidden
- (b) Yes, as and when necessary
- (c) Only with Central Government permission
- (d) Only during emergencies

43. The objects of every District Council shall be to render advice on:

- (a) Promotion of consumer rights within the State
- (b) Promotion of consumer rights within the District
- (c) Resolution of disputes
- (d) Punishment of local traders

44. **If the Minister-in-charge of Consumer Affairs is absent, who chairs the Central Council meeting?**
- (a) The Prime Minister (c) Any member elected by the Council
(b) The Vice-Chairperson (d) The meeting is cancelled
45. **Who serves as the Vice-Chairperson of the Central Consumer Protection Council?**
- (a) Secretary of Consumer Affairs (c) Chief Justice of India
(b) Minister of State (Consumer Affairs) (d) NITI Aayog CEO
46. **The composition of the Central Council includes official and _____ members.**
- (a) Judicial (c) International
(b) Non-official (d) Corporate
47. **Are the decisions of the Consumer Protection Councils legally binding on the Government?**
- (a) Yes, absolutely (c) Only if approved by the Court
(b) No, they are advisory in nature (d) Yes, if unanimous
48. **Section 3 to Section 9 of the Act collectively fall under which Chapter?**
- (a) Chapter I (c) Chapter III
(b) Chapter II (d) Chapter IV
49. **Which of the following is NOT a level of Consumer Protection Council mentioned in the Act?**
- (a) Central Council (c) Regional Council
(b) State Council (d) District Council
50. **The 'Objects' of the State Council are defined under which Section?**
- (a) Section 5 (c) Section 7(2) refers to objects in Sec 5
(b) Section 6 (d) Section 9

ANSWER KEY - Chapter II: Consumer Protection Councils

Q.No	Answer	Q.No	Answer
26	(b)	39	(c)
27	(c)	40	(b)
28	(b)	41	(a)
29	(a)	42	(b)
30	(c)	43	(b)
31	(b)	44	(b)
32	(b)	45	(b)
33	(b)	46	(b)
34	(c)	47	(b)
35	(b)	48	(b)
36	(b)	49	(c)
37	(b)	50	(c)
38	(b)		

PART C: Chapter III - Central Authority (Sections 10-27)

51. Which Section of the Consumer Protection Act, 2019 empowers the Central Government to establish the Central Consumer Protection Authority (CCPA)?
- (a) Section 9 (c) Section 12
(b) Section 10 (d) Section 15
52. The Central Authority (CCPA) shall consist of a Chief Commissioner and such number of other Commissioners as may be prescribed, to be appointed by:
- (a) The President of India (c) The Central Government
(b) The Supreme Court (d) The Selection Committee
53. Where shall the Headquarters of the Central Authority be located?
- (a) Mumbai (c) Kolkata
(b) National Capital Region of Delhi (d) Bengaluru
54. Who heads the "Investigative Wing" of the Central Authority established under Section 15?
- (a) The Chief Commissioner (c) The District Magistrate
(b) The Director General (d) The Commissioner of Police
55. Under Section 16, the District Collector has the power to inquire into complaints regarding unfair trade practices:
- (a) Only on a written complaint by a consumer (c) On a complaint or on a reference from the Central Authority
(b) Only on reference from the Central Authority (d) Never; the Collector has no such power
56. The Central Authority can inquire into violations of consumer rights:
- (a) Suo-motu (c) On directions from the Central Government
(b) On receipt of a complaint (d) All of the above

57. If the Central Authority finds that goods are dangerous or unsafe, it may pass an order to:
- (a) Recall the goods
 - (b) Reimburse the prices to purchasers
 - (c) Discontinue the unfair trade practice
 - (d) All of the above
58. Under Section 21, what is the maximum penalty the Central Authority can impose on a manufacturer for a false or misleading advertisement?
- (a) Up to 1 Lakh rupees
 - (b) Up to 5 Lakh rupees
 - (c) Up to 10 Lakh rupees
 - (d) Up to 50 Lakh rupees
59. For a subsequent offence of misleading advertisement, the penalty may extend up to:
- (a) 20 Lakh rupees
 - (b) 25 Lakh rupees
 - (c) 50 Lakh rupees
 - (d) 1 Crore rupees
60. The Central Authority may prohibit an endorser of a false advertisement from making any endorsement for a period extending up to:
- (a) 6 months
 - (b) 1 year
 - (c) 2 years
 - (d) 3 years
61. For a subsequent contravention by an endorser, the prohibition period may extend up to:
- (a) 2 years
 - (b) 3 years
 - (c) 5 years
 - (d) Lifetime ban
62. Under Section 22, for the purpose of investigation, the Director General or District Collector has the powers of search and seizure under:
- (a) The Code of Civil Procedure, 1908
 - (b) The Code of Criminal Procedure, 1973
 - (c) The Indian Evidence Act, 1872
 - (d) The Consumer Protection Act, 1986

63. Any person aggrieved by an order passed by the Central Authority under Sections 20 or 21 may prefer an appeal to:

- (a) The State Commission
- (b) The High Court
- (c) The National Commission
- (d) The Supreme Court

64. The time limit for filing an appeal against the order of the Central Authority is:

- (a) 15 days
- (b) 30 days
- (c) 45 days
- (d) 60 days

65. The Central Authority (CCPA) generally regulates matters relating to:

- (a) Individual consumer disputes only
- (b) Violation of rights of consumers as a class
- (c) Criminal cases involving murder
- (d) Only online transactions

66. Can the Central Authority engage experts and professionals to assist in discharge of its functions?

- (a) No, strictly internal staff
- (b) Yes, as per Section 13
- (c) Only with Supreme Court permission
- (d) Only unpaid volunteers

67. The Director General of the Investigative Wing is appointed by:

- (a) The Chief Commissioner
- (b) The Central Government
- (c) The UPSC
- (d) The President directly

68. If a person is found guilty of obstructing a search and seizure operation ordered by the CCPA, he is liable for punishment under:

- (a) Section 22 itself
- (b) The Indian Penal Code
- (c) Contempt of Courts Act
- (d) No punishment is specified

69. No penalty for misleading advertisement shall be imposed on an endorser if he proves that:

- (a) He was paid very less
- (b) He has exercised due diligence to verify the veracity of claims
- (c) He is a public figure
- (d) The product was imported

70. Does the Central Authority have the power to file complaints before the District Commission, State Commission, or National Commission?

- (a) No, it is a regulator only
- (b) Yes, under Section 19
- (c) Only before the Supreme Court
- (d) Only before the State Commission

71. The Central Authority may recommend to the _____ the adoption of international covenants and best international practices on consumer rights.

- (a) Supreme Court
- (b) Central Government
- (c) United Nations
- (d) State Governments

72. Which section deals with the "Designation of any statutory authority or body" to inquire into matters for the CCPA?

- (a) Section 17
- (b) Section 19
- (c) Section 25
- (d) Section 27

73. The Chief Commissioner holds office for a term of:

- (a) 3 years
- (b) 5 years
- (c) Until the pleasure of the President
- (d) As prescribed by Central Government rules

74. Can the Central Authority issue safety notices to alert consumers against dangerous goods or services?

- (a) Yes, under Section 18
- (b) No, only the Ministry can do that
- (c) Only after a court order
- (d) No, that is the job of the media

75. All grants and sums received by the Central Authority are credited to:

- | | |
|--|--------------------------------------|
| (a) The Consolidated Fund of India | (c) The Consumer Welfare Fund |
| (b) The Central Consumer Protection Authority Fund | (d) The Prime Minister's Relief Fund |



ANSWER KEY - Chapter III: Central Consumer Protection Authority

Q.No	Answer	Q.No	Answer
51	(b)	64	(b)
52	(b)	65	(b)
53	(c)	66	(b)
54	(b)	67	(b)
55	(c)	68	(b)
56	(d)	69	(b)
57	(d)	70	(b)
58	(c)	71	(b)
59	(c)	72	(d)
60	(b)	73	(a)
61	(b)	74	(b)
62	(b)	75	(b)
63	(c)		

PART D: Chapter IV - Redressal Commission (Sections 28-73)

76. Who establishes the District Consumer Disputes Redressal Commission (District Commission)?
- (a) The Central Government (c) The Supreme Court
(b) The State Government (d) The National Commission
77. What is the minimum composition of a District Commission?
- (a) A President and at least 1 member (c) A President and at least 3 members
(b) A President and at least 2 members (d) A President and at least 4 members
78. A complaint can be instituted in a District Commission within whose local limits:
- (a) The Opposite Party resides or carries on business (c) The Complainant resides or personally works for gain
(b) The Cause of Action arose (d) All of the above
79. The admissibility of a complaint filed before the District Commission must be decided within _____ days from the date of filing.
- (a) 15 days (c) 30 days
(b) 21 days (d) 45 days
80. If the District Commission fails to decide on the admissibility of a complaint within the prescribed time, the complaint shall be deemed to be:
- (a) Rejected (c) Transferred
(b) Admitted (d) Stayed
81. Under Section 40, does the District Commission have the power to review its own order?
- (a) No, strictly prohibited (c) Yes, in all cases
(b) Yes, if there is an error apparent on the face of the record (d) Only with High Court permission

82. Any person aggrieved by an order of the District Commission may prefer an appeal to the State Commission within:

- | | |
|-------------|-------------|
| (a) 30 days | (c) 60 days |
| (b) 45 days | (d) 90 days |

83. No appeal shall be entertained by the State Commission unless the appellant has deposited _____ of the amount ordered by the District Commission.

- | | |
|---------|----------|
| (a) 25% | (c) 75% |
| (b) 50% | (d) 100% |

84. The State Consumer Disputes Redressal Commission is established by:

- | | |
|----------------------------|----------------------------|
| (a) The Central Government | (c) The President of India |
| (b) The State Government | (d) The Governor |

85. The State Commission shall consist of a President and at least _____ members.

- | | |
|-------|-------|
| (a) 2 | (c) 4 |
| (b) 3 | (d) 5 |

86. The State Commission has jurisdiction to entertain:

- | | |
|--|------------------------|
| (a) Original complaints | (c) Revision petitions |
| (b) Appeals against District Commission orders | (d) All of the above |

87. Who has the power to transfer a complaint from one District Commission to another within the same State?

- | | |
|--------------------------|-----------------------------|
| (a) The State Government | (c) The National Commission |
| (b) The State Commission | (d) The High Court |

88. Who establishes the National Consumer Disputes Redressal Commission (National Commission)?
- (a) The Supreme Court (c) The Parliament
(b) The Central Government (d) The President
89. The National Commission shall consist of a President and at least _____ members.
- (a) 2 (c) 6
(b) 4 (d) 10
90. What is the limitation period for filing an appeal against the order of the State Commission to the National Commission?
- (a) 30 days (c) 60 days
(b) 45 days (d) 90 days
91. Under Section 58, the National Commission has the power to call for records (Revision) of any pending or decided case from:
- (a) The District Commission (c) Both District and State Commissions
(b) The State Commission (d) None of the above
92. An appeal against an order passed by the National Commission lies to the Supreme Court within:
- (a) 30 days (c) 60 days
(b) 45 days (d) 90 days
93. Appeal to the Supreme Court is available ONLY if the case involves:
- (a) A substantial question of law (c) An order passed by the National Commission in its Original Jurisdiction
(b) An amount exceeding Rs. 1 Crore (d) Any order of the National Commission

94. What is the limitation period for filing a complaint under Section 69 of the Act?

- (a) 1 year from the date of cause of action
- (b) 2 years from the date of cause of action
- (c) 3 years from the date of cause of action
- (d) 5 years from the date of cause of action

95. Can a delay in filing a complaint be condoned by the Commission?

- (a) No, limitation is strict
- (b) Yes, if sufficient cause is shown
- (c) Only with Central Government approval
- (d) Only if the opposite party agrees

96. Under Section 70, who has administrative control over the State Commission?

- (a) The State Government
- (b) The National Commission
- (c) The High Court
- (d) The Central Authority (CCPA)

97. Under Section 70, who has administrative control over the District Commission?

- (a) The National Commission
- (b) The State Commission
- (c) The District Magistrate
- (d) The Central Government

98. If an order of a Commission is not complied with, it is punishable with imprisonment for a term which shall not be less than:

- (a) 1 month
- (b) 3 months
- (c) 6 months
- (d) 1 year

99. Orders passed by the District, State, or National Commission are enforceable as if they were a decree of a:

- (a) Criminal Court
- (b) Civil Court
- (c) Revenue Court
- (d) Tribunal

100. Can a Consumer Commission proceed ex-parte if the opposite party omits to appear?

- (a) No, presence is mandatory
- (b) Yes, under Section 38
- (c) Only if the claim is less than 5 Lakhs
- (d) Only if the Complainant requests



ANSWER KEY - Chapter IV: Disputes Redressal Commission

Q.No	Answer	Q.No	Answer
76	(b)	89	(b)
77	(b)	90	(a)
78	(d)	91	(b)
79	(b)	92	(a)
80	(b)	93	(c)
81	(b)	94	(b)
82	(b)	95	(b)
83	(b)	96	(b)
84	(b)	97	(b)
85	(c)	98	(a)
86	(d)	99	(b)
87	(b)	100	(b)
88	(b)		

PART E: Chapters V to VIII (Sections 74-107)

101. According to Section 74, a Consumer Mediation Cell shall be established by:
- (a) The Central Authority only
 - (b) The State Government only
 - (c) The State Government and Central Government respectively
 - (d) The Supreme Court
102. Where is the Consumer Mediation Cell attached?
- (a) To the District, State, and National Commissions
 - (b) To the Collector's Office
 - (c) To the High Court
 - (d) To the Ministry of Consumer Affairs
103. Who is responsible for preparing the panel of mediators for the Consumer Mediation Cell?
- (a) The State Government
 - (b) The Central Government
 - (c) The Selection Committee
 - (d) The President of the respective Commission
104. Under Section 37, a Consumer Commission can refer a dispute for mediation if:
- (a) The value is less than Rs. 5 Lakhs
 - (b) There exist elements of a settlement which may be acceptable to parties
 - (c) The opposite party is absent
 - (d) The complainant is a senior citizen
105. Consent of _____ is required before referring a matter to mediation.
- (a) The Complainant only
 - (b) The Opposite Party only
 - (c) Both parties
 - (d) The President of the Commission
106. Once a settlement is reached between parties during mediation, it must be reduced to writing and signed by:
- (a) The Mediator only
 - (b) The Parties only
 - (c) The Parties and the Mediator
 - (d) The Commission President

107. Can an appeal be filed against an order passed by the Commission on the basis of a settlement reached through mediation?
- (a) Yes, within 30 days
(b) Yes, within 45 days
(c) No, no appeal lies against such an order
(d) Yes, if settlement was signed under duress
108. The Consumer Mediation Cell must submit a _____ report to the Commission.
- (a) Weekly
(b) Monthly
(c) Quarterly
(d) Annual
109. If mediation fails to reach a settlement, what happens to the complaint?
- (a) It is dismissed
(b) The Commission proceeds to hear the case
(c) It is referred to Lok Adalat
(d) It is transferred to another State
110. Matters relating to _____ cannot be referred to mediation.
- (a) Medical negligence
(b) Criminal offences or non-compoundable offences
(c) Excessive pricing
(d) Defective goods
111. Chapter VI of the Consumer Protection Act, 2019 deals with:
- (a) Unfair Trade Practices
(b) Product Liability
(c) E-Commerce
(d) Offences and Penalties
112. A "Product Liability Action" can be brought by a complainant for any _____ caused by a defective product.
- (a) Harm
(b) Disappointment
(c) Inconvenience
(d) Slight delay

113. Who can be held liable in a Product Liability Action?

- (a) Product Manufacturer
- (b) Product Service Provider
- (c) Product Seller
- (d) All of the above

114. Under Section 84, a Product Manufacturer is liable if the product:

- (a) Has a manufacturing defect
- (b) Has a design defect
- (c) Lacks adequate instructions or warnings
- (d) All of the above

115. Is a Product Manufacturer liable even if he proves that he was not negligent or fraudulent in making the express warranty?

- (a) No, negligence must be proved
- (b) Yes, strict liability applies regarding express warranties
- (c) Only if the defect is major
- (d) Only if the product is imported

116. A Product Service Provider is liable if:

- (a) The service provided was faulty or imperfect
- (b) There was negligence in maintaining the product
- (c) They failed to issue adequate warnings
- (d) All of the above

117. A Product Seller (who is not a manufacturer) is liable if:

- (a) He exercised substantial control over the designing or manufacturing
- (b) He altered or modified the product
- (c) The manufacturer is not subject to the law of India
- (d) All of the above

118. Under Section 87, a Product Manufacturer is NOT liable if the consumer:

- (a) Misused, altered, or modified the product
- (b) Used the product while intoxicated
- (c) Did not read the manual
- (d) Lost the bill

119. The defence that "the product was meant to be used under supervision of an expert" is available to a manufacturer under:
- (a) Section 86 (c) Section 88
(b) Section 87 (d) Section 89
120. If an employer purchases a product for use by employees, does the employee become a claimant for product liability?
- (a) No (c) Only if the employer permits
(b) Yes, generally included (d) Only if the product is hazardous
121. Section 88 prescribes punishment for failure to comply with the direction of:
- (a) The District Commission (c) The State Government
(b) The Central Authority (CCPA) (d) The Mediator
122. The penalty for failure to comply with the Central Authority's direction under Section 88 is:
- (a) Imprisonment up to 6 months (c) Fine up to 2 Lakhs
(b) Imprisonment up to 1 year (d) Imprisonment up to 6 months or fine or both
123. Section 89 deals with punishment for:
- (a) False or misleading advertisements (c) Overcharging
(b) Selling expired goods (d) Rude behavior
124. The punishment for a manufacturer causing a false or misleading advertisement is:
- (a) Imprisonment up to 2 years and fine up to 10 Lakhs (c) Fine up to 50 Lakhs only
(b) Imprisonment up to 5 years only (d) Community service

125. For every subsequent offence of false advertisement, the punishment may extend to:

- | | |
|--|--------------------------------|
| (a) Imprisonment up to 3 years | (c) Imprisonment up to 7 years |
| (b) Imprisonment up to 5 years and fine up to 50 Lakhs | (d) Life Imprisonment |

126. Section 90 deals with punishment for manufacturing for sale or storing/selling/distributing:

- | | |
|--------------------|-----------------------|
| (a) Imported goods | (c) Second-hand goods |
| (b) Spurious goods | (d) Refurbished goods |

127. If the sale of spurious goods causes grievous hurt, the punishment is:

- | | |
|---|-----------------------|
| (a) Imprisonment up to 1 year | (c) Life Imprisonment |
| (b) Imprisonment up to 7 years and fine up to 5 Lakhs | (d) Death Penalty |

128. If the sale of spurious goods results in the death of a consumer, the punishment is:

- | | |
|--|-----------------------------------|
| (a) Minimum 7 years imprisonment extending to life and fine not less than 10 Lakhs | (b) Maximum 10 years imprisonment |
| | (c) Fine of 1 Crore only |
| | (d) Imprisonment of 3 years |

129. Under Section 91, punishment for manufacturing or selling goods containing adulterant which causes death is:

- | | |
|---|--------------------------------|
| (a) Imprisonment up to 5 years | 10 Lakhs |
| (b) Minimum 7 years imprisonment extending to life and fine not less than | (c) Fine of 5 Lakhs only |
| | (d) Imprisonment up to 3 years |

130. Offences punishable under Section 90 (Spurious goods) and 91 (Adulterated goods) are:

- | | |
|---------------------------------|---------------------|
| (a) Bailable and Non-Cognizable | (c) Compoundable |
| (b) Cognizable and Non-Bailable | (d) Civil in nature |

131. "Cognizable Offence" means an offence where the police can arrest:

- (a) Only with a warrant
- (b) Without a warrant
- (c) Only after Magistrate's order
- (d) Only after CCPA direction

132. Section 93 defines "Vexatious Search". Who can be punished for this?

- (a) The Manufacturer
- (b) The Consumer
- (c) The Director General or any other officer exercising powers of search
- (d) The Police Constable

133. Offences under the Act may be compounded (settled by paying money) EXCEPT for those punishable with:

- (a) Fine only
- (b) Imprisonment only or Imprisonment and fine
- (c) Community Service
- (d) Warning

134. Who has the power to compound offences under Section 96?

- (a) The District Police
- (b) The Court before which the prosecution is pending
- (c) The National Commission
- (d) The Central Authority

135. Can a second or subsequent offence be compounded?

- (a) Yes, always
- (b) No, if committed within 3 years of the first compounded offence
- (c) Yes, by paying double fee
- (d) No, never

136. Section 94 empowers the Central Government to take measures to prevent unfair trade practices in:

- (a) Traditional Markets
- (b) E-Commerce
- (c) Export Business
- (d) Street Vending

137. Who is responsible for furnishing information to the Central Government under Section 97?

- (a) The District Commission
- (b) The State Commission
- (c) The National Commission
- (d) The State Government

138. The power to make "Rules" under Section 101 lies with:

- (a) The Central Government
- (b) The National Commission
- (c) The Central Authority
- (d) The Supreme Court

139. The power to make "Regulations" under Section 103 lies with:

- (a) The Central Government
- (b) The National Commission
- (c) The State Government
- (d) The Parliament

140. Under Section 104, the Central Authority (CCPA) also has the power to make:

- (a) Laws
- (b) Rules
- (c) Regulations
- (d) Ordinances

141. Section 107 of the 2019 Act repeals which previous Act?

- (a) The Competition Act, 2002
- (b) The Consumer Protection Act, 1986
- (c) The Essential Commodities Act, 1955
- (d) The Sale of Goods Act, 1930

142. Rules and Regulations made under the Act must be laid before:

- (a) The President
- (b) The Supreme Court
- (c) Each House of Parliament
- (d) The State Assemblies

143. If any difficulty arises in giving effect to the provisions of the Act, who has the power to remove such difficulty (Section 106)?

- (a) The Supreme Court
- (b) The Central Government
- (c) The National Commission
- (d) The President

144. No suit or legal proceeding shall lie against the Central Authority or its officers for anything done in:
- (a) Haste
 - (b) Good Faith
 - (c) Ignorance
 - (d) Fear
145. Presidents and members of the District Commission, State Commission, and National Commission are deemed to be _____ within the meaning of the Indian Penal Code.
- (a) Judicial Magistrates
 - (b) Public Servants
 - (c) Government Employees
 - (d) Private Individuals
146. The Consumer Protection Act, 2019 is in addition to and not in _____ of the provisions of any other law.
- (a) Contradiction
 - (b) Derogation
 - (c) Substitution
 - (d) Violation
147. Direct Selling entities are required to maintain a nodal officer to ensure compliance with the Act. This is mandated under:
- (a) The Act itself
 - (b) The Consumer Protection (Direct Selling) Rules, 2021
 - (c) The Indian Contract Act
 - (d) The Companies Act
148. Does the Act apply to E-Commerce entities situated outside India but serving Indian consumers?
- (a) No
 - (b) Yes, as per E-Commerce Rules
 - (c) Only if they have an office in India
 - (d) Only if the transaction value is $\geq$ 10 Crores
149. In case of a vacancy in the office of the President of a District Commission, who may perform the duties?
- (a) The Senior-most member
 - (b) The District Collector
 - (c) Any member appointed by State Government
 - (d) The office remains vacant

150. Which of the following bodies is NOT a quasi-judicial body?

- (a) District Commission
- (b) Central Consumer Protection Council
- (c) State Commission
- (d) National Commission



ANSWER KEY - Part 5 (Chapters V-VIII)

Q.No	Answer	Q.No	Answer
101	(c)	126	(b)
102	(a)	127	(d)
103	(d)	128	(a)
104	(b)	129	(a)
105	(c)	130	(b)
106	(c)	131	(b)
107	(c)	132	(b)
108	(c)	133	(a)
109	(b)	134	(b)
110	(b)	135	(b)
111	(b)	136	(b)
112	(a)	137	(c)
113	(d)	138	(b)
114	(d)	139	(b)
115	(b)	140	(b)
116	(d)	141	(b)
117	(d)	142	(b)
118	(a)	143	(a)
119	(b)	144	(b)
120	(b)	145	(c)
121	(b)	146	(b)
122	(d)	147	(c)
123	(a)	148	(b)
124	(a)	149	(b)
125	(b)	150	(b)